



**U.S. Securities and
Exchange Commission**

FISCAL YEAR 2027
**congressional
budget justification
annual performance plan**

FISCAL YEAR 2025
**annual
performance report**



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ABOUT THIS REPORT

The Congressional Budget Justification (CBJ) is the annual presentation to Congress that justifies the U.S. Securities and Exchange Commission's (SEC) budget request. This report also includes the Annual Performance Plan (APP) for fiscal year (FY) 2027 and the Annual Performance Report (APR) for FY 2025, focusing on the agency's performance results. This report provides information that satisfies requirements contained in the following laws and regulations listed below:

- Federal Information Technology Acquisition Reform Act
- Good Accounting Obligation in Government Act
- Government Management Reform Act of 1994
- GPRA Modernization Act of 2010
- Inspector General Act of 1978, as amended
- Office of Management and Budget (OMB) Circular A-11, *Preparation, Submission, and Execution of the Budget*
- OMB Circular A-136, *Financial Reporting Requirements*
- Reports Consolidation Act of 2000

This report is compliant with Section 508 of the Rehabilitation Act (29 U.S.C. § 794 (d)). For a machine readable format of the tables found on pages 6–9, download the report and open the Attachments panel in Adobe Acrobat.

An electronic version of this document and its components is available at [SEC.gov/cj](https://sec.gov/cj). To comment on the SEC's FY 2027 CBJ and APP and FY 2025 APR, email OFM_budget_formulation@sec.gov.

EXECUTIVE SUMMARY

The U.S. Securities and Exchange Commission (SEC) is pleased to submit its budget request for Fiscal Year (FY) 2027. The SEC's core mission is to protect investors, maintain fair, orderly, and efficient markets, and facilitate capital formation. The SEC is requesting \$1.908 billion in support of 4,177 full-time equivalents. This budget represents an 11 percent decrease in the agency's funding level versus requested FY 2026 levels.

The SEC's vision for FY 2027 builds on a foundation of fiscal discipline, organizational agility, and technological modernization to ensure the SEC continues to deliver on its mission of protecting investors and maintaining market integrity. This vision emphasizes efficiency, innovation, and collaboration with stakeholders across government and industry while safeguarding transparency and public trust.

As markets evolve, the SEC's responsibilities continue to grow and become more complex. The agency now oversees more than 33,000 entities, including more than 13,500 registered funds, more than 16,300 investment advisers, more than 3,200 broker-dealers, 29 national securities exchanges, 111 alternative trading systems, more than 400 municipal advisors, 319 transfer agents, 3 security-based swap data repositories, 10 credit rating agencies, 38 self-regulatory organizations, and 6 active registered clearing agencies.

In addition, the SEC reviews the disclosure and financial statements of more than 7,900 reporting companies and oversees key organizations such as the Public Company Accounting Oversight Board (PCAOB), the Financial Industry Regulatory Authority (FINRA), the Municipal Securities Rulemaking Board (MSRB), the Securities Investor Protection Corporation (SIPC), and the Financial Accounting Standards Board (FASB).

For FY 2027, the SEC will continue to operate within a disciplined budget framework and ensure resources are deployed effectively to safeguard the public interest. This budget request assumes that the SEC will begin hiring in areas that support the Administration's agenda as staff attrit the agency.

Through disciplined financial management and workforce alignment, the SEC will continue streamlining operations, investing in critical skills, and identifying savings without compromising mission delivery. This includes maintaining a lean organizational structure, redeploying staff to areas of greatest need, and leveraging technology to improve productivity.

As in prior years, the agency's funding remains deficit-neutral—offset by transaction fees—so operations do not add to the federal deficit or burden American families. This approach ensures that the SEC can fulfill its statutory responsibilities without compromising fiscal prudence.

Digital Assets

In FY 2027, a key priority for the Commission will be establishing a comprehensive regulatory framework for crypto asset-related securities that supports innovation and growth within U.S. markets. Through what has been termed “Project Crypto,” the SEC aims to ensure that the United States remains the premier destination for launching businesses, developing cutting-edge technologies, and engaging in capital markets.

This funding request will enable the SEC to evaluate the benefits and risks of transitioning from an offchain to an onchain market environment while creating a framework that preserves U.S. leadership in crypto asset markets. To advance this effort, SEC Chairman Paul Atkins directed the SEC’s policy divisions to collaborate with the Crypto Task Force in developing proposals aligned with the recommendations of the President’s Working Group on Digital Asset Markets. Commission staff will draft clear, straightforward rules governing crypto asset distribution, custody, and trading for public review and comment.

Additionally, the request will support the creation of guidelines to help market participants determine whether a crypto asset qualifies as a security or falls under an investment contract. The agency’s objective is to provide clarity by categorizing assets—such as digital collectibles, commodities, or stablecoins—and assessing the economic realities of each transaction. This approach will allow participants to evaluate whether any issuer commitments render the asset subject to securities regulation.

Finally, as more firms seek to tokenize common stock, bonds, partnership interests, and other securities, Commission staff will work closely with these entities to facilitate compliant distribution of tokenized securities in the United States and recommend rule changes or other relief, where appropriate, to ensure that American markets remain competitive and inclusive.

Fostering Capital Formation and Innovation

As companies continue to innovate, the Commission must evolve alongside them. To fulfill its mission effectively, the SEC needs to be forward-thinking and creative. Commission rules must reflect the realities of a rapidly changing marketplace and be calibrated to support capital formation, create quality jobs, and nurture the next generation of businesses. The United States remains the best place in the world to launch a startup and pursue bold ideas—and it is the SEC’s responsibility to ensure that continues.

One of the SEC’s key priorities for FY 2027 will be to accelerate innovation in the markets. Under Chairman Atkins’ vision for an “innovation exemption,” entrepreneurs and visionaries will be able to bring new technologies and business models to market without being constrained by outdated or overly prescriptive regulations that stifle economic progress; instead, they will adhere to principles-based conditions designed to uphold the core objectives of federal securities laws.

Rulemaking

In FY 2027, updating outdated agency rules will be a priority to enhance the securities market. In recent decades, companies have shifted from initial public offerings (IPO) to private markets to avoid costs and litigation risks.

The SEC aims to make IPOs great again by reviewing disclosure requirements to ensure they are not overly burdensome and focus on material information. Additionally, the agency will reassess private market rules to allow more investors access.

By promoting regulation that is smart, effective, and appropriately tailored within the confines of statutory authority, the SEC can ensure that a broader array of investors can invest in private offerings with the information that they need.

At the same time, the SEC will continue to deter fraud and misconduct. The Commission will prioritize cases involving market integrity and transparency, ensuring that violators are held accountable and investors have confidence in the fairness of U.S. markets.

Leveraging Technology and Artificial Intelligence

The SEC remains focused on achieving further efficiencies and innovation in its operations through the responsible use of artificial intelligence (AI). This includes leveraging Commercial Off-the-Shelf Technology wherever possible, and by continuing to consolidate and modernize its systems. One example is the agency's Electronic Data Gathering, Analysis, and Retrieval (EDGAR) system, which will continue to be enhanced by increasing security, reducing its costs, and lowering the burden on filers. The SEC has launched an AI Task Force that will spearhead the agency's efforts. Recognizing the transformative potential of AI, the task force will accelerate its integration in service of the SEC's mission. It will centralize the agency's efforts and enable internal cross-agency and cross-disciplinary collaboration to navigate the AI lifecycle, remove barriers to progress, focus on AI applications that maximize benefits, and maintain governance. The task force will support innovation from the SEC's divisions and offices and facilitate responsible AI integration across the agency.

The SEC will accelerate its transition to secure, cloud-based systems and expand the use of advanced analytics and AI to enhance market surveillance and compliance. These investments will strengthen cybersecurity defenses, improve operational resilience, and enable the agency to keep pace with rapidly evolving market practices.

The SEC recognizes that fiscal discipline and public trust are inseparable. Every dollar spent must advance its mission without imposing unnecessary costs on taxpayers or compromising transparency. By maintaining a deficit-neutral budget, prioritizing efficiency, and upholding the highest standards of accountability, the SEC will continue to serve the American public with integrity and ensure that U.S. markets remain a source of confidence and opportunity for generations to come.

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REQUEST SUMMARY OF CHANGES

(DOLLARS IN THOUSANDS)	FTE	Amount
FY 2026 Enacted	4,024	\$ 2,176,893
FY 2027 Base Changes		
Net Changes in Compensation Expenses	153	99,022
Net Changes in Non-Compensation Costs	—	(197,915)
Subtotal, Base Changes	153	\$ (98,893)
FY 2027 Current Services Level	4,177	\$ 2,078,000
FY 2027 Operational Budget Request	4,177	\$ 2,078,000
Less: Anticipated Carryover of Prior Year Unobligated Balances		(145,000)
Less: Anticipated Recoveries of Prior Year Obligations		(25,000)
FY 2027 Request for SEC Operations	4,177	\$ 1,908,000

OBLIGATIONS BY OBJECT CLASS

(DOLLARS IN THOUSANDS)	FY 2025 Actual	FY 2026 Enacted	FY 2027 Request
Personnel Compensation and Benefits			
Personnel Compensation (11.0)	\$ 1,091,555	\$ 976,079	\$ 1,034,473
Personnel Benefits (12.0)	415,675	390,464	400,403
Subtotal, Cost of Compensation and Benefits	\$ 1,507,230	\$ 1,366,543	\$ 1,434,876
Other Expenses			
Benefits for Former Personnel (13.0)	21,946	2,182	31
Travel and Transportation of Persons (21.0)	3,858	4,058	4,162
Transportation of Things (22.0)	39	69	70
Rent, Communications, and Utilities (23.0)	103,874	104,236	108,890
Printing and Reproduction (24.0)	12,466	1,110	4,799
Other Contractual Services (25.0)	524,689	505,614	492,957
Supplies and Materials (26.0)	616	844	861
Equipment (31.0)	24,072	46,030	30,420
Land and Structures (32.0)	75	456	169
Insurance Claims and Indemnities (42.0)	563	750	766
Subtotal, Cost of Other Expenses	\$ 692,198	\$ 665,349	\$ 643,124
Total, Obligations	\$ 2,199,428	\$ 2,031,893	\$ 2,078,000
Plus: No-Year Budget Authority – Forecasted for Future Years ¹		145,000	
Less: Anticipated Carryover of Prior Year Unobligated Balances	—	(2,893)	(145,000)
Less: Anticipated Recoveries of Prior Year Obligations	—	(25,000)	(25,000)
Request for SEC Operations	\$ 2,199,428	\$ 2,149,000	\$ 1,908,000

¹ The FY 2026 enacted appropriation includes no-year budget authority where \$145,000,000 of the funds provided are currently forecasted for obligation in FY 2027. That amount is legally available but not expected to be obligated in FY 2026.

OBLIGATIONS BY PROGRAM

(DOLLARS IN THOUSANDS)	FY 2025 Actual	FY 2026 Enacted	FY 2027 Request
SEC Program			
Enforcement	\$ 693,061	\$ 607,146	\$ 633,911
Examinations	499,894	470,081	468,454
Corporation Finance	184,287	177,604	178,544
Trading and Markets	122,953	113,341	115,179
Investment Management	95,683	85,143	88,504
Economic and Risk Analysis	84,978	82,379	83,062
General Counsel	71,355	64,045	63,594
Other Program Offices	109,206	100,197	102,277
Agency Direction and Administrative Support	313,339	306,615	320,196
Inspector General	24,672	25,343	24,279
Total, Obligations	\$ 2,199,428	\$ 2,031,893	\$ 2,078,000
Plus: No-Year Budget Authority – Forecasted for Future Years ¹		145,000	
Less: Anticipated Carryover of Prior Year Unobligated Balances		(2,893)	(145,000)
Less: Anticipated Recoveries of Prior Year Obligations		(25,000)	(25,000)
Request for SEC Operations	\$ 2,199,428	\$ 2,149,000	\$ 1,908,000

¹ The FY 2026 enacted appropriation includes no-year budget authority where \$145,000,000 of the funds provided are currently forecasted for obligation in FY 2027. That amount is legally available but not expected to be obligated in FY 2026.

FULL-TIME EQUIVALENTS (FTE) BY PROGRAM

	FY 2025 Actual	FY 2026 Enacted	FY 2027 Request
	FTE	FTE	FTE
Enforcement	1,302	1,114	1,168
Examinations	1,066	942	952
Corporation Finance	405	370	375
Trading and Markets	252	221	229
Investment Management	200	170	178
Economic and Risk Analysis	182	167	169
General Counsel	142	117	123
Other Program Offices	218	193	204
Agency Direction and Administrative Support	724	684	732
Inspector General	51	46	47
TOTAL FTE	4,542	4,024	4,177

FY 2027 Appropriations

Language

For necessary expenses for the Securities and Exchange Commission, including services as authorized by 5 U.S.C. 3109, the rental of space (to include multiple year leases) in the District of Columbia and elsewhere, and not to exceed \$3,500 for official reception and representation expenses, \$1,908,000,000, to remain available until expended; of which not less than \$20,050,000 shall be for the Office of Inspector General; of which not to exceed \$275,000 shall be available for a permanent secretariat for the International Organization of Securities Commissions; and of which not to exceed \$100,000 shall be available for expenses for consultations and meetings hosted by the Commission with foreign governmental and other regulatory officials, members of their delegations and staffs to exchange views concerning securities matters, such expenses to include necessary logistic and administrative expenses and the expenses of Commission staff and foreign invitees in attendance including: (1) incidental expenses such as meals; (2) travel and transportation; and (3) related lodging or subsistence: *Provided*, That any unobligated balances from funds made available under this heading in prior Acts for replacement leases for the Commission's headquarters and other regional office facilities may be used for such purposes at any Commission office facility, notwithstanding provisos in such Acts limiting use to particular office facilities, and notwithstanding provisos in such Acts requiring that de-obligated amounts derived from the general fund be returned to the general fund or that de-obligated amounts derived from fees or assessments be paid to national securities exchanges and national securities associations in proportion to any fees or assessments paid by such national securities exchange or national securities association.

For purposes of calculating the fee rate under section 31(j) of the Securities Exchange Act of 1934 (15 U.S.C. 78ee(j)) for fiscal year 2027, all amounts appropriated under this heading shall be deemed to be the regular appropriation to the Commission for fiscal year 2027: *Provided*, That fees and charges authorized by section 31 of the Securities Exchange Act of 1934 (15 U.S.C. 78ee) shall be credited to this account as offsetting collections: *Provided further*, That not to exceed \$1,908,000,000 of such offsetting collections shall be available until expended for necessary expenses of this account: *Provided further*, That the total amount appropriated under this heading from the general fund for fiscal year 2027 shall be reduced as such offsetting fees are received so as to result in a final total fiscal year 2027 appropriation from the general fund estimated at not more than \$0.

FY 2027 Budget Request by Program

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DIVISION OF ENFORCEMENT

The Division of Enforcement (ENF) is critical to the Commission's ability to fulfill its three-part mission: protect investors, maintain fair, orderly, and efficient markets, and facilitate capital formation. ENF's efforts to uncover misconduct and deter and punish securities law violators are critical to safeguarding millions of investors and instilling confidence in the integrity of the U.S. markets. Each year, on the basis of ENF investigations and recommendations, the Commission brings hundreds of civil and administrative enforcement actions against individuals and entities for fraud, financial and accounting irregularities and misstatements, misconduct by investment professionals and regulated entities, and other violations. The meaningful remedies that the Commission obtains through enforcement actions deter future wrongdoing and, when possible, deprive violators of the fruits of their misconduct. ENF often seeks prophylactic remedies, such as bars and suspensions that prevent wrongdoers from working in the securities industry or being officers and directors of public companies. The Commission also often returns funds obtained in enforcement actions to harmed investors.

ENF is focused on bringing meaningful cases that cover the entire securities waterfront, protect investors in new and emerging areas, hold wrongdoers accountable with meaningful remedies that shape market behavior, and bolster the public's trust in financial markets. ENF focuses on addressing (1) fraud targeting investors, particularly retail investors; (2) the activities of investment advisers, broker-dealers, and other registrants; (3) financial reporting and disclosure issues involving public companies, their executives, and their auditors; (4) misconduct by gatekeepers; and (5) insider trading and other abusive market practices. Although these areas are priorities for ENF, the division also continues to pursue potential securities law violations in other areas as it seeks to protect investors and the integrity of the market.

DIVISION OF EXAMINATIONS

The Division of Examinations (EXAMS) maintains a critical presence among market participants by annually conducting thousands of examinations that provide timely, accurate, and reliable information that assists the SEC in fulfilling its tripartite mission to protect investors, maintain fair, orderly, and efficient markets, and facilitate capital formation. The results of the division's examinations are used by the SEC to identify and monitor risks, improve industry practices, prevent fraud, and inform regulatory policy.

The division's risk-based program is designed to focus its limited resources on those firms, products, and practices that pose the greatest potential risk of securities law violations that can harm investors and the markets. During FY 2027, EXAMS will continue to prioritize areas

that pose emerging risks to investors or the markets as well as important core and perennial risk areas. This includes, but is not limited to, information security and operational resiliency, emerging financial technology, and compliance with recently implemented rules. Staff will also focus efforts on additional areas representing significant risks to individual investors, including seniors and other vulnerable investors, such as custody and safekeeping of client assets, conflicts of interest, recommendations of complex products, and trading-related practices.

DIVISION OF CORPORATION FINANCE

In support of the Commission's mission, the Division of Corporation Finance (CF) seeks to facilitate capital formation and protect investors by ensuring access to the information investors need to make informed investment and voting decisions when a company offers its securities to the public, and on an ongoing basis as companies continue to provide information to the marketplace. CF also makes recommendations to the Commission for new or revised rules relating to the disclosure requirements for reporting companies and exemptions from registration and provides interpretive advice to companies on SEC rules and forms.

Disclosure Review Program

CF reviews filings made under the Securities Act of 1933 and Securities Exchange Act of 1934, including new issuer registration statements, follow-on offerings, other transactional filings, and periodic reports, to both monitor and enhance compliance with disclosure and accounting requirements. The division focuses its review resources on material disclosures that appear to be inconsistent with Commission rules or applicable accounting standards.

CF conducts its primary review responsibilities through nine specialized industry offices: Crypto Assets; Energy and Transportation; Finance; Industrial Applications and Services; Life Sciences; Manufacturing; Real Estate and Construction; Technology; and Trade and Services.

Rulemaking and Interpretive Advice

CF assists the Commission with proposing and finalizing rules that uphold the agency's mission. As part of this effort, CF drafts rules and rule amendments to update disclosure requirements under the U.S. federal securities laws and implement congressionally mandated rulemaking directives. The division conducts its rulemaking and interpretive advice primarily through its Office of Chief Counsel, Office of Chief Accountant, and Legal and Regulatory Policy Program, the latter of which includes the Office of Rulemaking, the Office of Mergers & Acquisitions, the Office of Structured Finance, the Office of International Corporate Finance, and the Office of Small Business Policy.

DIVISION OF TRADING AND MARKETS

The mission of the Division of Trading and Markets (TM) is to establish and maintain standards for fair, orderly, and efficient markets while fostering investor protection and confidence in the markets. TM fulfills this mission by:

- monitoring risks at large broker-dealer and clearing agencies;
- overseeing the rulemaking activities of the exchanges, clearing agencies, and the Financial Industry Regulatory Authority (FINRA); and
- engaging in rulemaking at the direction of the Commission.

TM supervises the major participants in the U.S. securities markets. In FY 2025, TM oversaw 29 national securities exchanges, over 3,200 broker-dealers, 89 funding portals, 111 alternative trading systems that trade various types of securities, 6 clearing agencies, 319 transfer agents, 54 security-based swap (SBS) dealers, 3 SBS data repositories, FINRA, security futures product exchanges, and securities information processors. TM also works with the SEC's Office of Credit Ratings to supervise 10 nationally recognized statistical rating organizations, and with the SEC's Office of Municipal Securities to supervise the Municipal Securities Rulemaking Board and municipal advisors.

TM continues to enhance its supervisory, market monitoring, and data-driven work with several key objectives including identifying market risks, facilitating compliance, and informing policy. TM economists, accountants, and financial analysts evaluate risks associated with clearing agencies and broker-dealers, and also analyze complex market structure trends across all the securities markets overseen by TM, including the SBS, equity, fixed-income, options, and government securities markets.

TM actively engages with its counterparts at other government and regulatory agencies—including the U.S. Commodity Futures Trading Commission, the U.S. Department of the Treasury, the Federal Reserve Board, and other financial and banking regulatory agencies—to enhance protection of critical market infrastructure from physical and cyber threats, and to implement protocols to address such threats or incidents. TM works with these and other regulatory agencies to find ways to further harmonize the agency's respective rules, increase effectiveness, and share critical information about securities markets to identify risks and inform policy. TM's coordination and cooperation with several of these agencies to monitor the Treasury market is of particular importance.

DIVISION OF INVESTMENT MANAGEMENT

The Division of Investment Management (IM) works to fulfill the SEC’s mission by administering the Investment Company Act of 1940 and the Investment Advisers Act of 1940, and by developing regulatory policy for open-end management investment companies (commonly known as mutual funds), closed-end funds, other investment companies, variable insurance products, and investment advisers.

IM is responsible for regulating an expansive and growing industry that includes the main mechanisms through which American investors participate in the nation’s capital markets. Since 2019, gross assets managed by U.S. investment advisers have increased by nearly 50 percent. The division oversees approximately 14,000 registered funds, including money market funds and exchange-traded funds. IM also regulates certain investment advisers to private funds, including private equity, hedge, venture capital, and similar funds. Private funds have also experienced dramatic growth over the past decade, nearly tripling from approximately 38,000 to over 109,000 funds.

An important part of IM’s mandate is to protect American investors in these products, many of whom are working families investing for their future.

DIVISION OF ECONOMIC AND RISK ANALYSIS

The Division of Economic and Risk Analysis (DERA) advances the Commission’s statutory mission through rigorous economic analysis, advanced data analytics, research, and the publication of statistics on the capital markets. DERA’s work spans the full scope of the Commission’s activities—including rulemaking, examination, and enforcement—providing multidisciplinary analyses grounded in institutional knowledge and informed by academic research.

DERA plays a critical role in helping the Commission identify, assess, and address emerging economic and market issues, including those related to new financial products, investment and trading strategies, systemic risk, and fraud. Through its data analytics initiatives, DERA develops a range of financial and market analysis tools and publishes comprehensive economic statistics and data visualizations on the SEC’s public website.

DERA is staffed by subject matter experts in economics, data science, statistics, accounting, law, and risk analysis. This multidisciplinary approach enables DERA to deliver comprehensive, data-driven insights. DERA is comprised of four mission areas:

- *Economic Analysis.* DERA conducts both quantitative and qualitative economic analyses of proposed and final Commission rules, assessing their costs, benefits, and potential impacts on market competition. DERA also provides economic analysis and data to support the Commission's reviews of self-regulatory organization rules and fees, new financial products, National Market System plans, and other internal initiatives, including reports and projects led by other SEC divisions and offices. Additionally, DERA develops and publishes key statistical data on capital formation, market participants, market activity, and investor participation.
- *Risk Analysis.* DERA performs domestic and international risk analyses of the capital markets.
- *Examination and Enforcement.* DERA provides economic and data expertise for the Commission's examination- and enforcement-related activities.
- *Data Science.* DERA develops advanced analytical tools and manages critical economic data to support the full range of the Commission's activities. This includes pioneering efforts in artificial intelligence and machine learning to enhance regulatory oversight and data-driven decision-making.

OFFICE OF THE GENERAL COUNSEL

The General Counsel serves as the chief legal officer of the Commission and heads the Office of the General Counsel (OGC). OGC provides independent legal advice to the Chairman, Commissioners, and operating divisions and offices on all aspects of the Commission's mission and operations. OGC also defends the Commission in federal district courts, represents the Commission in appellate matters and *amicus curiae* filings, and oversees the agency's bankruptcy program. OGC represents the Commission, the Commissioners, and employees at the trial and appellate levels when they are parties or witnesses in civil or administrative litigation arising from the performance of official functions. OGC also performs a variety of other legal functions (e.g., tort claims, labor law, Freedom of Information Act appeals and litigation, review of leases and contracts) in support of the Commission's day-to-day operations. In addition, OGC coordinates the agency's interactions with the Office of Information and Regulatory Affairs pursuant to the Regulatory Flexibility Act and Executive Order 12866.

OGC will continue to advise the Commission and staff agency-wide on complex administrative and securities law issues that arise in rulemakings, other regulatory initiatives, enforcement activities, and whistleblower claim adjudications. OGC will also continue to assist the Commission in resolving SEC administrative proceedings and petitions seeking review of actions taken by self-regulatory organizations and the Public Company Accounting Oversight Board. OGC will also continue to provide technical assistance to Congress and other financial regulatory agencies on legislative initiatives and other matters.

OTHER PROGRAM OFFICES

This section describes the responsibilities and activities of the agency's smaller program offices:

- Office of the Chief Accountant
- Office of Investor Education and Assistance
- Office of International Affairs
- Office of Administrative Law Judges
- Office of the Investor Advocate
- Office of Credit Ratings
- Office of Municipal Securities
- Office of the Advocate for Small Business Capital Formation

OFFICE OF THE CHIEF ACCOUNTANT

The Chief Accountant serves as the principal advisor to the Commission on accounting and auditing matters under the federal securities laws. The Office of the Chief Accountant (OCA) is responsible for establishing and interpreting accounting and auditing matters to enhance the transparency, relevancy, and credibility of financial reporting for the benefit of investors. High-quality financial statements that are subject to high-quality audits are the bedrock of the financial reporting system, establishing a consistent and enforceable framework that protects investors, contributes to the fair and efficient operation of U.S. markets, and promotes capital formation.

OCA achieves its responsibilities for the Commission through the following internal workflows.

The Accounting Group (AG) oversees accounting standard-setting by the Financial Accounting Standards Board (FASB); addresses emerging accounting issues through consultations and stakeholder engagement; conducts technical and complex accounting consultations with external registrants and accounting firms, which serve a critical investor protection, market efficiency, and capital formation function to ensure accurate financial statements are included in registration statements and periodic filings in support of the Division of Corporation Finance's disclosure review process; supports Commission rulemaking with respect to financial reporting matters; and supports the Division of Enforcement on matters related to financial reporting. A significant focus of the AG is on oversight of the FASB, which has an active standard-setting agenda and post-implementation review process. The AG is focused on working with the FASB through its consultation process to ensure that amended and new accounting standards are implemented effectively and timely by issuers.

The Professional Practice Group (PPG) provides expert advice related to auditing, independence, and internal control over financial reporting (ICFR). The PPG, along with OCA's Office of Chief Counsel (OCC), supports the Commission's approval of the Public Company Accounting Oversight Board's (PCAOB) annual budget process and accounting support fee, approval of audit standard-settings and rulemakings, and oversight with respect to the PCAOB Inspections Program. The PPG also participates in consultations on auditor independence matters and assessments by issuers and auditors on the effectiveness of ICFR. The PPG also monitors audit and independence standard setting by other bodies.

The International Group (IG) leads OCA's efforts to engage and promote high-quality financial reporting and auditing globally. The IG works in conjunction with other OCA groups to advance public interest in international audit, ethics, independence, and accounting standard-setting. In addition, the IG leads the Monitoring Group's oversight of the activities of the Public Interest Oversight Board, the International Auditing and Assurance Standards Board, and the International Ethics Standards Board for Accountants; serves in a leadership

role on the International Organization of Securities Commissions Committee on Issuer Accounting, Auditing, and Disclosure; and leads additional oversight of these and other related groups and boards.

The Office of Chief Counsel (OCC) provides legal counsel to OCA with respect to Commission rulemaking, including compliance with administrative law requirements under the Sarbanes-Oxley Act of 2002 and the Securities Exchange Act of 1934 relating to the Commission's oversight of the PCAOB and FASB. In addition, OCC leads OCA's process of advising the Commission on enforcement matters related to accounting, auditing, auditor independence, and internal controls, including administering the Commission's Rule 102(e) Program for accountants. OCC provides technical assistance to legislative committees and Congressional members on contemplated legislation, and answers questions and provides briefings to Congressional staffers on OCA-related activities upon request. OCC also provides OCA with legal advice relating to its administrative responsibilities, principally with respect to budget, accounting support fees, and appointments at the FASB, its governing body, the Financial Accounting Foundation, and the PCAOB.

OFFICE OF INVESTOR EDUCATION AND ASSISTANCE

The Office of Investor Education and Assistance (OIEA) seeks to provide individual investors with the information and tools they need to make sound investment decisions.

OIEA promotes this mission through two primary functions: (1) conducting educational outreach to individual investors, and (2) assisting investors with complaints and questions about the securities markets and market participants.

OIEA's Investor Education Program includes in-person outreach, digital and social media, and other communication channels, including the Commission's website for individual investors, [Investor.gov](https://www.investor.gov). OIEA's outreach efforts target different segments of the population, from students and teachers to older investors, military service members, and veterans. OIEA also issues Investor Alerts and Bulletins to inform individual investors about different types of fraud, new investment products, and other topical issues.

OIEA's Investor Assistance Program serves the tens of thousands of investors who contact the SEC each year with investment-related complaints and questions. A substantial portion of the complaints and questions received require input from the entities involved and cannot be resolved in less than 30 days. Nevertheless, OIEA staff aims to close as many new matters as quickly as possible.

OFFICE OF INTERNATIONAL AFFAIRS

The Office of International Affairs (OIA) advances the SEC's mission by promoting international enforcement and supervisory cooperation; developing and implementing strategies to further SEC policy interests in the regulation and oversight of cross-border securities activities; managing and executing the SEC's participation in international regulatory bodies; engaging in regulatory dialogues with international counterparts; and providing technical assistance to strengthen partnerships with foreign authorities.

The Regulatory Policy and Supervisory Cooperation (RP/SC) Group advises the Chairman, Commissioners, and staff on international regulatory policy matters, policy developments in overseas capital markets with implications for U.S. markets, and regulatory reform efforts in foreign jurisdictions. In FY 2027, among other duties, the RP/SC Group will facilitate cross-border cooperation with foreign authorities related to the examination and supervision of globally active firms; manage the staff's engagement in bilateral dialogues with foreign counterparts and the policy work of multilateral organizations to advance the Commission's priorities; and support the implementation of Commission rules with cross border impacts.

The Enforcement Policy and Cooperation (EPC) Group assists SEC staff with conducting investigations and litigation with international aspects. The EPC Group handles SEC requests for assistance to foreign authorities, provides advice and guidance to investigative and legal teams, and advances Commission priorities by representing the SEC in bilateral engagements with foreign authorities and multilateral initiatives. In FY 2027, the EPC Group will continue to advance the Commission's policy objectives for international cooperation and develop best practices in enforcement cooperation, including efforts to combat cross-border market manipulations.

The Technical Assistance, Legal Compliance, and Planning (TLP) Group advances the agency's mission by building the capacity of, and establishing strong working relationships with, the SEC's international regulatory and law enforcement counterparts with a view towards ensuring that the SEC's counterparts are equipped to assist SEC staff. The TLP Group also monitors relevant laws, regulations, and agency policies to develop internal controls, policies, and procedures related to OIA's programs and activities. In FY 2027, the TLP Group will continue to partner with SEC staff experts in sharing their perspectives and expertise with the SEC's international counterparts on best practices in securities regulation, including creating robust examination and enforcement programs and establishing effective disclosure regimes for public companies and market participants. The TLP Group will also continue to oversee OIA's core legal compliance functions, as well as assist the SEC in hosting high-level bilateral and multilateral dialogues with foreign counterparts to advance the Commission's priorities.

OFFICE OF ADMINISTRATIVE LAW JUDGES

The Office of Administrative Law Judges supports the SEC's mission by conducting hearings and issuing initial decisions as required by the Administrative Procedure Act, federal securities laws, and agency regulations; and by adjudicating ancillary matters under the Equal Access to Justice Act and other laws. When the Commission orders that a proceeding be heard by an administrative law judge, the judge serves as an independent adjudicator who determines whether the allegations against one or more respondents are true. The judges conduct public hearings in a manner similar to federal bench trials. Among other actions, they issue subpoenas, hold conferences with parties, and rule on motions and the admissibility of evidence. Following the hearing, the judge prepares an initial decision setting forth his or her factual findings and legal conclusions and determining whether remedies are warranted. Certain proceedings may be resolved without a hearing, such as when the judge decides that summary disposition is appropriate or finds a respondent in default. Pursuant to interagency agreements, the judges also hear cases from other federal agencies.

OFFICE OF THE INVESTOR ADVOCATE

The mission of the Office of the Investor Advocate (OIAD) is to advocate for investors and help ensure that investors' interests are appropriately considered in policy and practice at the Commission, at self-regulatory organizations (SRO), and in Congress. Additionally, OIAD staff also provides logistical support to the SEC's Investor Advisory Committee (IAC).

The office has five core functions, as outlined in [15 U.S.C. § 78d\(g\)\(4\)](#):

1. Assist retail investors with complaints against the SEC or SROs
2. Identify areas in which investors would benefit from regulatory changes
3. Identify problems with financial service providers and investment products
4. Analyze the potential impact of proposed rules and regulations on investors
5. Propose appropriate changes to the Commission and Congress to the extent practicable

Investor Engagement

OIAD aims to understand the unique perspectives of investors through ongoing investor engagement activities, which directly supports the statutory mandate. OIAD actively seeks input from several types of investors, including individual retail investors, smaller and regional investor groups, non-profits and consumer groups, academics and researchers, pension funds, and others.

Investor Advocacy

OIAD's Office of Legal and Policy is responsible for analyzing proposed rules and regulations of the Commission and SROs and counseling the Investor Advocate regarding their potential impacts of proposed regulations and rules on investors, as well as helping identifying areas in which investors would benefit from changes in regulations or rules, to the extent practicable.

Office of the Ombuds

The Ombuds acts as a confidential liaison between the SEC and retail investors who have complaints, questions, suggestions, or concerns about the SEC and/or any SRO subject to SEC oversight. The Ombuds provides investors with information and resources to help resolve the issues raised in their submission. The Ombuds may also engage in fact finding, escalate matters with significant investor impact, and advocate for fair and equitable processes.

Office of Investor Research

OIAD's Office of Investor Research (OIR) is a multidisciplinary research group that supports OIAD's statutory mandate to identify and analyze investors' concerns through testing, online surveys, qualitative interviews, statistical analysis, and other research efforts. This includes researching retail investors' behavior and understanding of new financial products. OIR developed and maintains the Thoughtful Households Relating InVesting Experiences (also known as "THRIVE") Panel, a nationally representative survey panel that facilitates frequent, direct survey research to provide timely data on investment-related topics.

Investor Advisory Committee

OIAD provides operational support to the IAC, which is independent from the Commission and advises, consults with, and is authorized to make recommendations to the SEC. Members of the IAC are appointed by the Commission.

OFFICE OF CREDIT RATINGS

The Office of Credit Ratings (OCR) is charged with administering Commission rules with respect to the practices of nationally recognized statistical rating organizations (NRSRO). These rules are aimed toward promoting accuracy in credit ratings issued by NRSROs, ensuring that credit ratings are not unduly influenced by conflicts of interest, and helping to ensure that firms provide greater disclosure to investors. In support of this mission, OCR conducts examinations of NRSROs to assess and promote compliance with statutory and Commission requirements, monitors the activities of NRSROs, develops and administers rules affecting NRSROs, and provides guidance generally with respect to the Commission's regulatory initiatives related to NRSROs.

OFFICE OF MUNICIPAL SECURITIES

The Office of Municipal Securities (OMS) coordinates the Commission's activities relating to the \$4 trillion municipal securities market and administers the Commission's rules pertaining to municipal securities brokers and dealers, municipal advisors, investors in municipal securities, and municipal issuers. OMS' responsibilities include three primary areas: municipal advisor regulation, municipal securities market structure initiatives, and municipal securities disclosure initiatives. OMS advises the Commission on policy matters and current market issues relating to the municipal securities market and is responsible for policy development, coordination, and implementation of Commission initiatives to improve the municipal securities market, including working with other divisions on cross fixed-income market issues.

OMS provides technical assistance to other SEC divisions and offices, including the Division of Enforcement and the Division of Examinations. OMS is also responsible for oversight of the Municipal Securities Rulemaking Board (MSRB), which includes reviewing and processing proposed rule changes filed by the MSRB as well as assisting with examinations of the MSRB. OMS works closely with the municipal securities industry to educate state and local officials and conduit borrowers about the Commission's rules. OMS also acts as the SEC's liaison to the Financial Industry Regulatory Authority, the Internal Revenue Service, bank regulators, the U.S. Department of the Treasury, and a wide variety of investor and industry groups on municipal securities issues.

OFFICE OF THE ADVOCATE FOR SMALL BUSINESS CAPITAL FORMATION

The Office of the Advocate for Small Business Capital Formation (OASB) focuses on small businesses and their investors through all lifecycle stages, from early-stage startups to small public companies. The SEC Small Business Advocate Act of 2016 created this SEC office, which reports to the entire Commission.

In FY 2027, OASB seeks to continue to broaden its in-person and virtual outreach and engagement efforts to small businesses, their investors, and the third-party entities that support them. This outreach and engagement helps to further identify the challenges these stakeholders face when raising capital and ensures their valuable perspectives are heard and considered in policymaking by the SEC. The office also seeks to expand the SEC's educational resources and tools for small businesses, including for small public companies, which will help facilitate capital formation as companies and investors navigate changing economies and investment markets. Additionally, OASB will seek to continue to monitor data trends on small business capital formation and provide input on proposed rules and policy changes.

AGENCY DIRECTION AND ADMINISTRATIVE SUPPORT

This section details the SEC's agency-wide executive activities, operations, and administrative functions.

Agency Direction includes:

- Executive Staff, which is composed of the Chairman's Office, the Commissioners' offices, and the Office of Legislative and Intergovernmental Affairs
- Office of Public Affairs
- Office of the Secretary

Administrative Support includes:

- Office of the Chief Operating Officer and its component offices
- Office of Information Technology
- Office of the Ethics Counsel
- Office of Minority and Women Inclusion
- Office of Equal Employment Opportunity

EXECUTIVE STAFF

The Executive Staff is composed of the Chairman, the Commissioners, their staff, and the Office of Legislative and Intergovernmental Affairs (OLIA).

The Chairman serves as the agency's senior responsible executive, overseeing all aspects of agency operations and setting the agency's substantive policy and rulemaking agenda. In addition, the Chairman and Commissioners are jointly responsible for interpreting and enforcing the federal securities laws; issuing new rules and amending existing rules; overseeing the inspection of securities firms and other regulated entities; and coordinating U.S. securities regulation with federal, state, and foreign authorities. The staff in the Chairman's Office and in each Commissioner's office assist with these functions.

OLIA serves as the liaison between the SEC and Congress and is responsible for responding to requests from Congress for information related to agency programs and legislation affecting the SEC or its mission. Specifically, OLIA coordinates testimony and witness preparation for SEC officials appearing at congressional hearings; responds to requests by members of Congress and their staff for meetings, briefings, and technical assistance on legislation and other matters affecting the SEC or its mission; responds to requests from members of Congress and their staff for information concerning the operations and activities of the SEC; and assists in responding to congressional correspondence. OLIA also serves as the agency's official liaison to other federal government agencies such as the U.S. Department of the Treasury, the U.S. Commodity Futures Trading Commission, and other federal financial regulatory agencies.

OFFICE OF PUBLIC AFFAIRS

The Office of Public Affairs (OPA) assists the Commission in making the work of the SEC open to the public, understandable to investors, and accountable to taxpayers. OPA communicates the agency's work and delivers data and other digital information to the public, market participants, and other stakeholders. OPA manages external communications strategy, media relations, internal communications, public engagement, digital engagement, speechwriting, and [SEC.gov](https://www.sec.gov).

OPA leverages technology and multimedia to deliver news, data, and other information to inform investors and facilitate internal and external audiences' interactions with the SEC. The office maintains the SEC's digital platforms, including The Exchange—the agency's intranet—and [SEC.gov](https://www.sec.gov).

Staff in OPA will also continue to respond to media inquiries, write and edit news releases and other materials, and facilitate media interactions with agency officials to promote understanding of the SEC's work.

OFFICE OF THE SECRETARY

The Office of the Secretary (OS) is responsible for ensuring the orderly and effective processing of Commission business. OS reviews all orders and other releases submitted to and approved by the Commission or issued via staff's delegated authority; schedules and coordinates Commission meetings; prepares and maintains records of Commission actions; receives and tracks filings in administrative proceedings; and advises the Commission and staff about practice and procedure. OS is responsible for the public dissemination of Commission documents such as notices, orders, and rulemakings and oversees the comment letter intake process.

OFFICE OF THE CHIEF OPERATING OFFICER

The Office of the Chief Operating Officer (OCOO) provides strategic leadership and operational oversight of the SEC's core mission-support activities and compliance with administrative requirements from Congress and the Executive Branch.

There are seven offices within OCOO:

- Office of the Chief Operating Officer's Front Office
- Office of Financial Management
- Office of Human Resources
- Office of Acquisitions
- Office of Support Operations
- EDGAR Business Office
- Office of the Chief Data Officer

OFFICE OF THE CHIEF OPERATING OFFICER (FRONT OFFICE)

The front office of OCOO oversees and coordinates the activities of the seven other component offices. In addition, the front office manages several key functions, as detailed below.

Chief Risk Officer

The Office of the Chief Risk Officer (OCRO) provides timely, decision-useful information on agency risks to promote risk-informed decision-making. OCRO continues to enhance the agency's enterprise risk management and internal control programs through new and revised policies that clarify governance, enhance standards, and improve information sharing. OCRO also continues to expand its collaborative work with SEC divisions and offices to better document processes and associated risks, and to ensure appropriate, cost-effective controls are effectively operating. In addition, OCRO focuses on agency-wide operations by leading efforts related to strategic planning and performance metrics, as well as managing the internal administrative regulations process.

Managing Executive for Small Offices

The Office of the Managing Executive for Small Offices (MESO) provides vital business operations, planning, and management services to support 14 small offices throughout the agency. MESO works collaboratively with the small offices' senior leadership to manage financial and human resources, acquisitions management, and technology initiatives to achieve organizational goals and objectives. MESO also oversees the Information Management Services Program, which provides enhanced data management and records management support to the small offices.

OFFICE OF FINANCIAL MANAGEMENT

The Office of Financial Management administers the financial management and budget functions of the SEC. The office formulates budget and authorization requests, monitors the utilization of agency resources, and develops, oversees, and maintains SEC financial systems, statements, and reports. These activities include cash management, accounting, fee collections, travel policy development, and oversight of budget justification and execution.

OFFICE OF HUMAN RESOURCES

The Office of Human Resources (OHR) is responsible for the strategic management of the SEC's human capital. OHR consults with management, establishes, and administers human capital programs and policies, and ensures compliance with federal regulations.

Programs and policies under OHR's purview include:

- Recruitment, staffing, and retention
- Position management and classification
- Compensation administration
- Benefits counseling and processing
- Leave programs
- Anti-Harassment Program
- Leadership and employee development
- Performance management and awards
- Labor relations
- Work-Life programs

OFFICE OF ACQUISITIONS

The Office of Acquisitions (OA) establishes SEC acquisition policies and oversees procurement from planning through contract closeout. OA manages contractor performance to ensure timely delivery and quality outcomes. It also administers acquisition workforce training and certification, the government purchase card program, supplier diversity initiatives, and other procurement activities under the Federal Acquisition Regulations.

To promote transparency and accountability, OA reports detailed expenditure and contract data to federal and SEC financial systems. It ensures compliance with statutes such as the Buy American Act, the Small Business Act, and the Competition in Contracting Act. OA prioritizes SEC requirements by streamlining processes, assessing risk and technology needs, and removing barriers to effective contract support.

OA is committed to maximizing efficiency across all acquisition activities. By leveraging technologies, automating routine tasks, and implementing data-driven decision-making, OA reduces administrative burden and accelerates contract cycle times. Continuous process improvement initiatives—such as standardized workflows and performance analytics—enable OA to optimize resources and minimize costs without compromising quality.

OFFICE OF SUPPORT OPERATIONS

The Office of Support Operations (OSO) implements a variety of programs to manage the agency's facilities and assets. OSO is responsible for processing requests made under the Freedom of Information Act (FOIA) and the Privacy Act (PA); managing all agency records in accordance with the Federal Records Act; maintaining the security and safety of SEC facilities; leading the continuity readiness and mission resilience of SEC essential functions, and overseeing property, equipment, and overall building operations.

The Office of FOIA Services (OFS) is responsible for receiving and responding to all requests for non-public records submitted to the SEC under the FOIA (5 U.S.C. § 552) and the PA (5 U.S.C. § 552a). The office's primary objective is to foster openness and transparency in government. Congressional interest in the Commission's mission and activities remains high, as does public demand for SEC records. OFS estimates it will receive approximately 13,250 FOIA requests in FY 2027.

The Office of Security and Building Operations (OSBO) is responsible for security, safety, and emergency management at all SEC facilities. OSBO oversees property and facilities management, office lease acquisition and administration, space renovation, transportation, and printing and mail operations. OSBO also manages the background investigation and national security programs for the SEC in accordance with federal mandates, oversees the SEC Insider Threat Program, and operates the Sensitive Compartmented Information Facilities with secure communication capabilities.

The Office of Administration and Mission Resilience (OAMR) is responsible for management of all OSO business functions including agency-wide programs. OAMR serves as the conduit for OSO offices to plan, manage, and execute mission requirements. The Records and Information Management Group within OAMR maintains SEC records schedules, develops guidelines and procedures in compliance with the Federal Records Act, manages records transfer and retrieval operations, authorizes destruction of temporary records, conducts records trainings, and fulfills other recordkeeping requirements. In accordance with government-wide directives, OAMR leads the Continuity Program and subordinate programs to ensure the SEC has a robust continuity capability to respond to market and operational incidents by maintaining support to the White House and sustaining the performance of essential functions during all conditions.

EDGAR BUSINESS OFFICE

The EDGAR Business Office (EBO) provides centralized and effective management of all aspects of the Electronic Data Gathering, Analysis, and Retrieval (EDGAR) system. Among other things, EBO governs strategic improvements to EDGAR; oversees EDGAR development for SEC rulemakings and other matters; provides filer support; maintains responsibility for rulemaking related to the administration of EDGAR; and communicates with the public and SEC staff about EDGAR matters.

EBO strives to improve and simplify the filer experience; streamline the ability of companies and individuals to meet filing and disclosure requirements; and empower investors with accurate, consolidated, and user-friendly data and information to make informed investment decisions.

OFFICE OF THE CHIEF DATA OFFICER

The Office of the Chief Data Officer (OCDO) ensures the secure, effective, and efficient use of data in service of the agency's mission. OCDO will continue to coordinate the ongoing refinement and execution of the SEC Data Strategy; lead the design and implementation of the Commission's data architecture; support identity and access management and implement a zero trust architecture; develop and deploy enterprise data standards; maintain the agency's inventory of data assets via the SEC Data Catalog; oversee compliance with internal data policies and standards governing access, use, and sharing as well as licensing and terms of use; and coordinate implementation of open data requirements under the OPEN Government Data Act and Financial Data Transparency Act. OCDO will also continue to promote effective management of the agency's Library and third-party research and data resources. OCDO will efficiently ingest data for use by agency staff and continue to provide opportunities to divisions and offices to use data in the Enterprise Data Platform for mission-critical programs. Finally, OCDO will continue to support the agency's compliance with the Paperwork Reduction Act.

OFFICE OF INFORMATION TECHNOLOGY

Information technology is a strategic enabler of the SEC’s mission, empowering the agency to securely collect, analyze, and share data from registrants, support regulatory oversight, and collaborate with government partners and the public—all while safeguarding sensitive information and maintaining system integrity. In today’s globally interconnected financial markets, the SEC relies upon advanced technology to not only manage the growth in data volumes and complexity, but also to enhance market oversight, support enforcement efforts, protect investors, and improve operational efficiency while maintaining the security and integrity of the information entrusted to the agency.

The Office of Information Technology (OIT) devotes resources to enhancing and modernizing technology systems to meet mission outcomes, increase operational effectiveness and efficiency, and to safeguard sensitive data. Consistent with this vision, the SEC will continue to prioritize the modernization of key systems; advance a stronger data protection paradigm through continued implementation of a zero-trust operating model; comply with the Financial Data Transparency Act of 2022; and leverage artificial intelligence and machine learning applications and along with their governance.

OIT Supports the Commission and SEC staff in all aspects of technology. The office has overall management responsibility for the SEC’s IT program, including application development, enterprise operations, end-user support, capital planning, enterprise architecture, cybersecurity, and privacy. In addition, OIT maintains a dynamic and robust website that provides a wealth of information about the Commission and the securities industry and hosts the Electronic Data Gathering, Analysis, and Retrieval (EDGAR) system’s database for free public access.

The SEC continues to strengthen its cybersecurity by transitioning legacy systems to a zero trust architecture. These efforts will enhance the agency’s risk posture, reduce the time required to detect and respond to incidents, and optimize and modernize manual processes. The SEC remains committed to setting and upholding technological standards for development and operations in the cloud and will continue to invest in automation to implement inherited security controls and improve delivery times. These strategies will help the SEC remain flexible and responsive as financial markets and technologies continue to evolve.

OFFICE OF THE ETHICS COUNSEL

The Office of Ethics Counsel (OEC) is responsible for administering the Commission's Ethics program as well as interpreting the SEC's Supplemental Ethics Rules and federal government wide ethics laws, rules, and regulations. OEC provides independent legal analysis and advice to the Chairman, Commissioners, and divisions and offices on ethics issues. In addition, the OEC Compliance Team manages personal trading requests for staff across the Commission in compliance with the SEC's Supplemental Ethics Rules, and provides training and counseling on personal trading questions. OEC is also the SEC's liaison with the U.S. Office of Government Ethics. OEC expects to maintain its current workload and responsibilities in FY 2027.

OEC will continue to advise and counsel all Commission employees and members on personal and financial conflicts of interest; post-employment restrictions; securities holdings and transactions of Commission employees and their immediate families; gifts; seeking and negotiating other employment; outside activities; and financial disclosure. Additionally, OEC will continue to review Commission memoranda for potential conflicts with employees' financial holdings. Further, the office will continue to develop and enhance IT systems for employee trading and financial disclosure.

OFFICE OF MINORITY AND WOMEN INCLUSION

The Office of Minority and Women Inclusion was established pursuant to Section 342 of the Dodd-Frank Wall Street Reform and Consumer Protection Act of 2010. This office is currently comprised of one office director.

OFFICE OF EQUAL EMPLOYMENT OPPORTUNITY

The Office of Equal Employment Opportunity (OEEEO) leads the agency's compliance program under the authority of Title VII of the Civil Rights Act of 1964, as amended, and other federal anti-discrimination laws and regulations. The regulations include specific and time-bound redress processes in addition to details relating to agency roles and responsibilities.

Consistent with the Notification and Federal Employee Anti-discrimination and Retaliation Act of 2002 (as amended by the Cummings Amendments of 2020), the director of OEEEO reports directly to the Chairman of the SEC. OEEEO does not represent members of the workforce or SEC management officials and is independent from the SEC's Office of the

General Counsel. The director of OEEO is formally designated with authority to issue binding legal decisions and final agency actions pursuant to Title 29 C.F.R. Part 1614 and the U.S. Equal Employment Opportunity Commission's (EEOC) Management Directive 110.

Attorneys and EEO professionals within the office resolve concerns through alternative dispute resolution, conduct complex and sensitive investigations, assess the merits of discrimination complaints, continually analyze program effectiveness and efficiencies, and publish periodic reports as required by law and EEOC Directives.

OFFICE OF INSPECTOR GENERAL

In FY 2027, the Office of Inspector General (OIG) will continue to fulfill its core oversight mission to strengthen agency programs and operations and to reduce fraud, waste, and abuse through investigations, audits, evaluations, and reviews. This includes statutory mandates regarding cybersecurity and privacy, review of purchase and travel card risks, and operation of the Employee Suggestion Program required by the Dodd-Frank Wall Street Reform and Consumer Protection Act (Dodd-Frank Act) to collect recommendations from employees for improving the SEC's work efficiency, effectiveness, and productivity.

Through discretionary audit and evaluation work set forth in an annual audit plan, the OIG will focus on the SEC's management challenges, as well as emerging risks and issues, to support the SEC's three-part mission of investor protection, market regulation, and capital formation. To support the integrity and accountability of the SEC and its staff and contractors, the OIG will continue to investigate allegations of fraud, waste, and abuse, as well as individual misconduct. The OIG's oversight workload remains high due to a variety of factors, including congressional interest in the oversight of the SEC and the number of tips and complaints received by the OIG. This office's work is integral to achieving the agency's mission, and the OIG expects workload levels to remain high through FY 2027.

The OIG anticipates a continuing need to support coordination of oversight across the federal financial regulatory structure. The SEC Inspector General (IG) currently serves on the Council of Inspectors General on Financial Oversight (CIGFO), established by Section 989E of the Dodd-Frank Act, through which the OIG collaborates to provide comprehensive oversight of the financial sector. To that end, the OIG participates in annual analysis of, and reporting on, trends and crosscutting issues, plus special projects determined by CIGFO from time to time.

Increased coordination and initiatives undertaken by the Council of Inspectors General on Integrity and Efficiency have increased demands on OIG resources, and the office expects this trend to continue for the foreseeable future. This includes responding to proposed and enacted legislation containing new oversight mandates, actively participating in crosscutting issues that enhance oversight of the SEC, and supporting a variety of initiatives that promote the professional development of SEC OIG staff.

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CROSS-AGENCY COLLABORATION

The SEC values its many partnerships with other federal agencies, financial regulators, and foreign governments. Collaborating across regulatory boundaries, market segments, and national borders furthers the SEC's ability to achieve its mission. The securities markets are large and dynamic, and the SEC understands that cooperation is essential. Some examples of cross-agency collaboration efforts during FY 2025–FY 2027 are highlighted below.

In FY 2025, the SEC continued to coordinate with the Interagency Securities Council (ISC), which includes federal, state, and local regulatory and law enforcement professionals who meet quarterly to discuss the latest in scams, trends, frauds, and mitigation strategies, and provide specialized briefings on emerging and complex topics. The ISC now includes over 2,500 representatives from more than 250 departments and agencies, including federal financial and law enforcement agencies, state offices of attorneys general, state police, state securities regulators, and local police departments and sheriff's offices.

The SEC's Divisions of Corporation Finance (CF), Investment Management (IM), Trading and Markets (TM), Enforcement (ENF), Examinations (EXAMS), and Economic and Risk Analysis (DERA) are working with the staff at the Commodity Futures Trading Commission (CFTC) to clarify, coordinate, and harmonize where the responsibilities of these agencies intersect. This work will include harmonization efforts related to crypto asset markets, derivatives markets, collateral infrastructure, data reporting, fund reporting, cross-border activity, examinations, and enforcement. The SEC staff and the CFTC staff are working to build a framework in which the two agencies coordinate seamlessly, reduce duplicative regulation, and provide needed clarity to issuers, investors, and intermediaries.

ENF continues to prioritize effective coordination with criminal authorities in seeking to hold wrongdoers accountable and remove bad actors from the markets. In more than 325 SEC enforcement investigations in FY 2025, other regulators and law enforcement offices requested and obtained access to materials contained in the SEC's investigative files. In many of these cases, the SEC and its criminal law enforcement counterparts employed complementary tools to further a shared goal of investor protection. Frequently, this entailed collaboration with overseas regulatory and law enforcement counterparts.

IM participates in various workstreams related to Financial Stability Oversight Council (FSOC), including monthly meetings of the FSOC Systemic Risk Committee. On occasion, IM presents before FSOC or its committees on matters relating to the securities markets—including issues or concerns with potential implications for systemic risk—or otherwise provides input or advice. In addition, IM staff coordinate with other U.S. and foreign regulators on analysis and monitoring of activity in the fund industry and the markets in which funds participate. IM staff are also

active participants in international securities standards-setting bodies such as International Organization of Securities Commissions (IOSCO) and Financial Stability Board (FSB), where they lead or serve on various workstreams. IM expects to continue to coordinate with Federal Reserve Board (FRB), Federal Reserve Banks, the U.S. Department of the Treasury's (Treasury) Office of Financial Research, and the Consumer Financial Protection Bureau on issues related to the asset management industry.

IM also frequently coordinates with colleagues at Treasury on important priorities, including new and proposed rules that may affect the asset management industry, Committee on Foreign Investment in the United States reviews, and specific questions. The SEC's oversight of broker-dealers is, in many ways, a coordinated effort with the Financial Industry Regulatory Authority (FINRA). The SEC and FINRA regularly discuss strategic initiatives, examination coordination, risk assessment efforts, rulemaking issues, and evolving industry risks. For instance, FINRA and the SEC exchange monthly data on firms and activities of interest, which is supplemented with a quarterly call. In addition, IM staff also collaborate with other agencies such as the Department of Labor, the federal banking agencies, and CFTC on various policy initiatives impacting registered funds and registered advisers.

The SEC's Office of Municipal Securities (OMS) frequently works with other regulators to ensure that critical issues and risks impacting the municipal securities market are addressed in an efficient and effective manner. This includes information sharing, periodic meetings, joint outreach events, and other strategic efforts with domestic regulators such as the Municipal Securities Rulemaking Board (MSRB), FINRA, the Internal Revenue Service, and the Office of State and Local Finance within Treasury. These efforts have proven effective for conducting broad oversight of the municipal market and improving compliance by regulated entities operating in the municipal securities space. Notably, OMS, together with participants from ENF and EXAMS, hosted a compliance outreach conference jointly with the MSRB and FINRA in January 2026.

To enhance credit rating agency oversight and foster more effective supervision, the SEC's Office of Credit Ratings meets with foreign regulators in the Supervisory Colleges for Credit Rating Agencies to share information related to internationally active credit rating agencies. The office also meets with certain foreign regulators to share information regarding credit rating agency activities.

TM cooperates and collaborates with the CFTC, the FRB, Treasury, the Office of the Comptroller of the Currency (OCC), the Federal Deposit Insurance Corporation, and other regulators. This collaboration spans various areas including, among others, regulatory harmonization, implementation of statutory mandates, novel products and jurisdictional questions, market monitoring, operations and risk management practices of financial market infrastructures, and anti-money laundering and economic sanction issues. For example, TM

closely collaborates with the CFTC on regulatory harmonization opportunities and took a leadership role in hosting a joint SEC-CFTC roundtable on such harmonization efforts. In addition, TM closely collaborates with other federal financial regulators (e.g., Treasury, FRB), other domestic and international regulators, and a broad set of market participants on the implementation of SEC rules for the central clearing of U.S. Treasury securities.

TM also assists the SEC with its work in various domestic and international regulatory groups such as the FSOC, FSB, and IOSCO by providing technical expertise on market and risk management developments and emerging financial issues.

The SEC's Office of Investor Education and Assistance (OIEA) also collaborates with external partners to protect the financial well-being of American seniors. OIEA works closely with the Elder Justice Interagency Working Group (EJWG), the Elder Justice Coordinating Council (EJCC), and the Federal Trade Commission's Scams Against Older Adults Advisory Group to safeguard their interests. The EJWG is responsible for carrying out elder justice activities, including elder abuse prevention; research, grant, and program funding; and prosecution. The EJCC is a federal entity charged with identifying and proposing solutions to the problems surrounding elder abuse, neglect, and financial exploitation. Staff in OIEA also participate on the Advisory Committee to the North American Securities Administrators Association's (NASAA) Senior Issues Committee and FINRA's Senior Investor Roundtable.

OIEA also represents the SEC on the Financial Literacy and Education Commission (FLEC), which was established under the Fair and Accurate Credit Transactions Act of 2003. FLEC is chaired by the Secretary of the Treasury and made up of the heads of more than 20 additional federal agencies. The Commission was tasked with developing a national financial education website ([MyMoney.gov](https://www.mymoney.gov)) and a national strategy on financial education.

Recognizing that small businesses often have questions about regulatory regimes and programs overseen by other agencies, the SEC's Office of the Advocate for Small Business Capital Formation (OASB) collaborates with the U.S. Small Business Administration (SBA) and other agencies' small business programs on public events to share information about these programs. OASB also adds educational resources from these agencies to the SEC's Resources for Small Businesses section on [SEC.gov](https://www.sec.gov), making it easier for companies and investors to find the appropriate agency information. At the 2025 annual SEC Government-Business Forum on Small Business Capital Formation (the Forum), OASB facilitated an exhibitor hall in which the SBA and other government agencies provided information about their agency programs and resources for small businesses and their investors. Federal agencies like the SBA, Treasury, the Board of Governors of the Federal Reserve System, and organizations representing state securities commissioners are also invited to participate in the Forum Planning Group. In addition, the SEC's Small Business Capital Formation Advisory Committee includes non-voting members appointed by NASAA and the Administrator of the SBA.

DERA provides testimony and other litigation support to the U.S. Department of Justice on cases related to securities fraud and the capital markets. This work leverages the expertise of DERA's economists to help authorities hold wrongdoers accountable and remove bad actors from the markets. The division also represents the SEC on several national and international working groups collaborating with other agencies on economic issues related to the capital markets.

The Office of the Chief Data Officer (OCDO) helps the SEC advance its capabilities and gain efficiencies by participating in regular meetings with other chief data officers (CDO) from across the federal government, including via the Federal CDO Council, to share best practices and standards and discuss government-wide data issues and priorities. In FY 2025, OCDO participated in the joint issuance of proposed rules by the federal financial regulatory agencies to establish data standards for the collection of information reported to each agency by financial entities, as well as the data collected on behalf of the FSOC.

The Office of Support Operations (OSO) works closely with the U.S. General Services Administration (GSA) to conduct lease procurements and manage most SEC facilities. Since 2011, OSO has collaborated with GSA on optimizing the SEC's real property portfolio and has realized annual rent savings estimated at \$28.5 million via rightsizing existing leases either upon expiration or during the current lease term. In FY 2025 specifically, the SEC completed the decommissioning of its Salt Lake Regional Office and returned the space to GSA. In addition, a portion of the San Francisco Regional Office was vacated, which will enable use by another agency and generate an additional \$650K annual savings for the SEC in FY 2026. OSO is actively coordinating with GSA on a prospectus lease procurement action for the SEC's headquarters and three non-prospectus lease procurement actions for the Philadelphia Regional Office, the Chicago Regional Office, and the Atlanta Regional Office.

The SEC's Office of Human Resources (OHR) participates in the Enterprise Data & Analytics Community of Practice—a collaborative effort led by the SEC that includes OCC, NASAA, GSA, and the U.S. Department of Veterans Affairs—to share human capital analytics and data visualization best practices. OHR also collaborates with other financial regulatory agencies to benchmark and share information about human capital programs.

EVIDENCE BUILDING

Internal and external evaluations play a significant role in monitoring and improving SEC program performance. Through objective measurement and analysis, agency managers determine the extent to which programs are achieving mission objectives, allowing them to direct SEC resources accordingly. In FY 2025, there were nine U.S. Government Accountability Office reports and eight Office of Inspector General reports or management letters issued related to agency operations. Examples of reviews and evaluations the agency initiated and plans to continue are listed below.

As part of the SEC's continued effort in furtherance of its statutory mission, Division of Corporation Finance staff reviews issuer-offering documents and periodic reports, with the primary goals of ensuring company compliance with disclosure, reporting, accounting, and other obligations under the federal securities laws and facilitating capital formation through timely review of offering documents. In FY 2025, the division continued to play an integral role in the agency's efforts to ensure investors have the information they need to make informed investment decisions with respect to unique risks posed by investments in China-based issuers. During the year, the division continued to issue comments designed to obtain enhanced disclosure for investors about key China-related matters, such as variable interest entity structures and risks, and to ensure that proper disclosures were made by those issuers.

The SEC's Division of Trading and Markets (TM) regularly engaged with market participants on current market and regulatory issues. For example, TM participated in organizing and hosting roundtables to discuss market-related issues, including the roundtables on Trade-Through Prohibitions and Rule 611 of Regulation National Market System (NMS). TM continues to consider the discussion and feedback on these roundtables and public comments submitted in response to these roundtables in connection with a reexamination of Regulation NMS, and in particular the trade-through prohibitions and other potentially intertwined rules and regulations. In addition, TM took a leadership role in the SEC-CFTC Roundtable on Regulatory Harmonization Efforts—a step toward providing regulatory clarity, reducing unnecessary barriers, and enhancing market efficiency.

TM analyzes market and regulatory reporting data to support a range of functions. On a quarterly basis, TM publishes market metrics and visualizations on the [SEC's Market Structure Analytics web page](#), where it can be relied upon by the public and private sectors. TM uses market data and analysis to monitor markets, develop a deeper and more comprehensive view of market trends and dynamics, maintain market integrity, and inform policy.

TM also participated in the preparation and publication of the Financial Stability Oversight Council Annual Report 2025 (2025 FSOC Report). The 2025 FSOC Report to Congress presents FSOC's assessment of the most salient financial stability issues, provides FSOC's recommendations to address these issues, and summarizes the activities of FSOC and member agencies to address current and potential threats to U.S. financial stability.

The Division of Economic and Risk Analysis (DERA) provides insight into numerous aspects of the Commission's mission. With respect to rulemaking, DERA leverages the SEC's robust processes for obtaining public input and performs rigorous economic analyses of the agency's rules at both the proposal and adoption stages. These efforts are critical to identifying the benefits and costs of regulatory actions, as well as the potential impact on efficiency, competition, and capital formation. For the Commission's enforcement activities, DERA provides economic analysis that helps staff in the Division of Enforcement analyze and quantify potential misconduct. DERA also provides evidence-based research and analysis to other Commission programs, which allows for insight into areas of potential risk.

DERA facilitates data availability that allows the public and private sectors to monitor markets and develop a deeper and more comprehensive view of market trends and dynamics. It publishes numerous [white papers](#) and [statistics and data visualization web pages](#) that provide to the public fundamental data on capital formation, market participants, market activity, and investor participation, enhancing transparency and understanding of the markets. In addition, DERA publishes numerous [data sets](#) on topics such as capital formation, short-selling, and mutual fund disclosures, among others. These data sets are used by the public to better understand the capital markets. Further, to facilitate consistent data collection, DERA publishes taxonomies that allow both the Commission and market participants to better analyze and understand critical data collected pursuant to Commission rules.

In FY 2025, the SEC conducted surveys focused on understanding investor behavior, monitoring participation and perceptions of capital markets, and improving the experience and satisfaction of investors using the agency's online resources and tools. The Office of Investor Education and Assistance and the Office of the Investor Advocate will continue to gather information regarding the behavior of individual investors, the type of information they need and use when making investment decisions, and the usefulness of the SEC's investor education efforts and related programs.

The Office of the Advocate for Small Business Capital Formation (OASB) engages with small businesses and their investors through all lifecycle stages, from early-stage startups to small public companies. OASB has established an evaluation program using both quantitative and qualitative data and feedback to measure how well its outreach efforts help achieve its statutory mandate to conduct outreach to small businesses and small business investors and identify problems that small businesses have with securing access to capital.

The SEC reviews performance goal data on a quarterly basis. Each quarter, the Office of the Chief Operating Officer reviews the status of performance goals and indicators to determine whether the agency is on target for achieving these goals for the fiscal year. This review process is in line with the Office of Management and Budget and the Performance Improvement Council recommendations for frequent data-driven reviews.

LINKS TO ADDITIONAL INFORMATION AND RESOURCES

Reference	URL
Strategic Plans, Agency Financial Reports, and Congressional Budget Justifications	SEC.gov/about/budget-performance
Investor.gov	Investor.gov
Office of the Whistleblower	SEC.gov/whistleblower
Enforcement Actions, Commission Opinions, SEC Staff Briefs, Trading Suspensions, and Notices Concerning the Creation of Investor Claims' Funds in Specific Cases	SEC.gov/page/litigation
Laws that Govern the Securities Industry	SEC.gov/about/laws.shtml

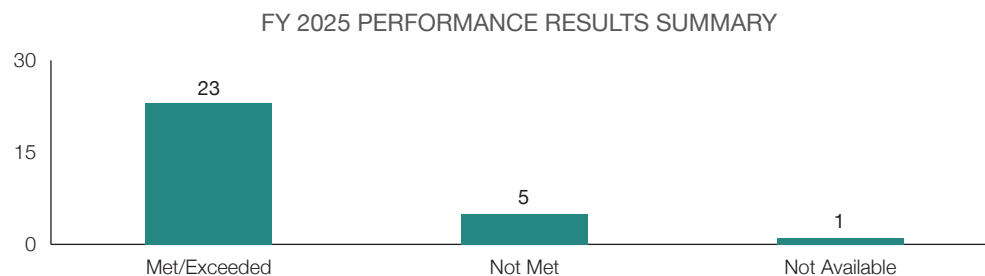
FY 2025 Annual Performance Report (APR) and FY 2027 Annual Performance Plan (APP)

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FY 2025 APR AND FY 2027 APP OVERVIEW

The SEC dedicates its resources to protect investors, maintain fair, orderly, and efficient markets, and facilitate capital formation. The SEC understands how critical it is to maximize the impact of the resources provided to the SEC and ensure its resources are deployed in a manner that efficiently and effectively meets the agency's priorities and management challenges. In FY 2025, total SEC obligations were \$2.200 billion in support of 4,542 total full-time equivalents (FTE). Of 29 total performance targets, the agency met or exceeded 23; did not meet 5; and data was not available for 1.

The budget request for FY 2027 totals \$1.908 billion. The FY 2027 budget request funds 4,177 FTEs, a decrease of about 365 FTEs compared to the FY 2025 level.

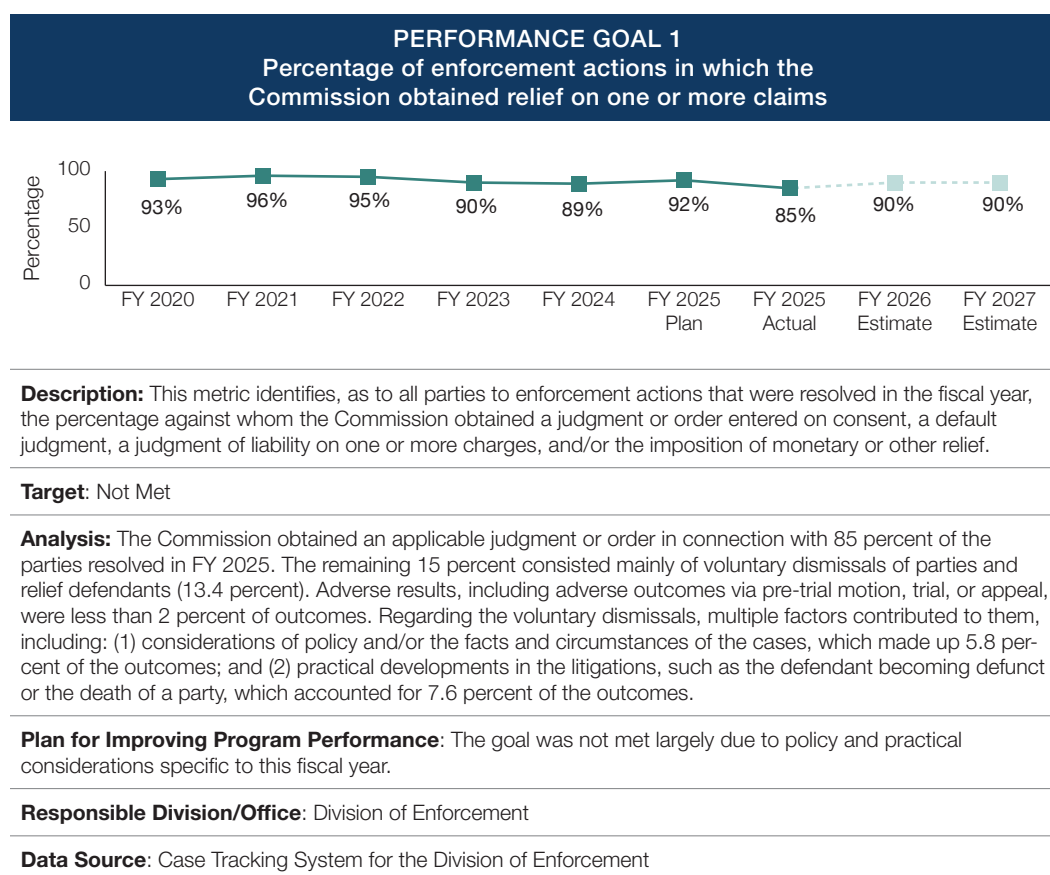


In FY 2025, SEC rulemaking returned to regular order. The agency focused on establishing a framework for digital assets, making IPOs great again, and modernizing the Commission's ruleset. The agency is committed to taking into consideration how rules overlap and create regulatory burden for market participants. The SEC recognizes the need to make being a public company an attractive proposition for more firms by eliminating compliance requirements that yield no meaningful investor protections. In FY 2025, the SEC also began a key process to review its technology infrastructure, organizational structures, and contractual obligations to optimize efficiency and eliminate redundancy. This review is critical to ensure the SEC continues to meet its mission despite the 17 percent reduction of SEC staff in FY 2025. The SEC prioritizes human capital management programs and strategies to support the dedicated and talented staff to execute the agency's mission and key initiatives.

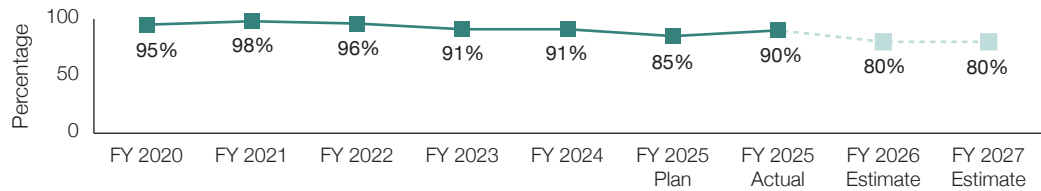
In FY 2027, the SEC will continue to simplify and scale disclosure requirements to reduce the costs of preparing SEC filings and, at the same time, make them more comprehensible. The capital markets thrive not through the volume of disclosures, but the clarity and importance of them to investors. The SEC will continue to conduct retrospective reviews of its rules to ensure

that they continue to be cost-effective and result in disclosure of material information without an overload of immaterial information. The SEC will also continue to focus on technology systems, data management, and artificial intelligence (AI) to enhance innovation and efficiency in its operations. For example, the AI Task Force will continue to lead the agency's efforts to accelerate AI integration to centralize the agency's efforts and enable internal cross-disciplinary collaboration to navigate the AI lifecycle, remove barriers of progress, focus on AI applications that maximize benefits, and maintain governance. The AI Task Force will strengthen innovation from the SEC's divisions and offices and facilitate AI integration across the agency.

PERFORMANCE GOALS



PERFORMANCE GOAL 2
Percentage of Fair Fund and disgorgement fund plans that have distributed 80 percent of the available funds for distribution within 24 months of the approval of the distribution plan



Description: In addition to other types of relief, the SEC may seek orders requiring parties to disgorge any money obtained through wrongdoing. The SEC also is empowered to seek civil penalties for violations of the securities laws. Where appropriate, the SEC has sought to return disgorged funds to harmed investors and, as a result of the Fair Funds provisions in law, to combine amounts paid as penalties with disgorged funds, or to create a Fair Fund from penalties only, to reduce losses to injured parties and to maximize funds available for distribution. This metric identifies the percentage of distribution plans that reached a critical mass during the fiscal year and within 24 months of the approval of the distribution plan. The distribution plan includes the timeline and procedures required to return the funds to injured investors. This reflects Commission-wide efforts to implement plans to return money to investors quickly. Any funds not returned to investors are sent to the U.S. Treasury or the Investor Protection Fund established pursuant to Section 21F(g) of the Securities Exchange Act of 1934. Neither disgorgement nor penalties are used for the SEC's own expenses.

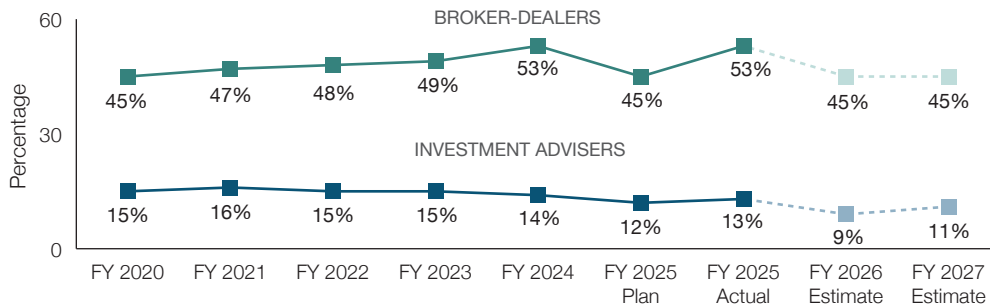
Target: Exceeded

Analysis: In FY 2025, the Division of Enforcement exceeded the target by 5 percentage points. Going forward, the division will continue to prioritize the timely distribution of funds to harmed investors.

Responsible Division/Office: Division of Enforcement

Data Source: Case Tracking System for the Division of Enforcement

PERFORMANCE GOAL 3 Percentage of investment advisers and broker-dealers examined during the year



Description: Investment advisers (IA) and broker-dealers (BD) are critical market participants in terms of their interactions with retail investors. This metric indicates the percentage of IAs and BDs examined by the SEC or a self-regulatory organization (SRO) as a percentage of the total number of registrants. This metric takes into account all types of examinations, including, for example, risk priority examinations, cause inspections to follow up on tips and complaints, and limited scope special inspections to probe emerging risk areas.

Target: IAs – Exceeded; BDs – Exceeded

Analysis: FY 2025 examination priorities focused on both investment advisers and broker-dealers to protect investors and address critical risks in the marketplace. Overall, coverage rates in FY 2025 by the Division of Examinations (EXAMS) and broker-dealer self-regulatory organizations met expectations and reflected the continued emphasis on these important market participants. Going forward, EXAMS will continue to prioritize examinations of investment advisers and broker-dealers as more investors rely on these financial intermediaries to participate in the financial markets.

Responsible Division/Office: Division of Examinations

Data Source: Tracking and Reporting Examination National Documentation System (TRENDS) (IA and BD SEC Data) and SRO Databases (BD SRO Data)

PERFORMANCE GOAL 4
Number of regulatory initiatives to improve investor disclosure

Description: Number of regulatory initiatives (i.e., concept, requests for comment, proposing, and adopting releases) that could assist investors in making informed investment or voting decisions, or that are designed to improve investors' ability to access or analyze registrants' disclosures.

Fiscal Year	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025 Plan	FY 2025 Actual	FY 2026 Estimate	FY 2027 Estimate
Division of Corporation Finance (CF)	Prior-year data not available			4	4	4	2	6	6
Division of Investment Management (IM)	Prior-year data not available			13	11	9	2	4	4
Division of Trading and Markets (TM)	Prior-year data not available			6	10	2	6	2	2

Target: CF – Not Met; IM – Not Met; TM – Exceeded

Analysis: In FY 2025, the Divisions of Corporation Finance, Investment Management, and Trading and Markets worked diligently on regulatory initiatives that aim to improve investor disclosure. However, the number of regulatory initiatives fell short of two of three targets for FY 2025 due to a transition in agency leadership, during which the Commission reassessed its regulatory priorities.

Plan for Improving Program Performance: The SEC expects that the number of regulatory initiatives will increase, as the transition in agency leadership is completed and the Commission has published its Unified Agenda of Regulatory and Deregulatory Actions. This is reflected in the updated estimates for the future years.

Responsible Division/Office: Division of Corporation Finance; Division of Investment Management; Division of Trading and Markets

Data Source: Releases Posted on Commission Website (CF); Internal Logs (IM); Internal Logs (TM)

PERFORMANCE GOAL 5

Percentage of disclosure-based regulatory initiatives that consider whether it would be appropriate to include a provision to structure disclosures (to the extent that the benefits justify the economic costs) to enhance comparability

Description: Percentage of disclosure-based regulatory initiatives that consider structuring disclosure would provide a measure of the Commission's efforts to provide the investing public with machine-readable data (where economically justified), which will help the investing public analyze disclosure and compare investment choices across different issuers.

Fiscal Year	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025 Plan	FY 2025 Actual	FY 2026 Estimate	FY 2027 Estimate
Division of Corporation Finance (CF)	Prior-year data not available			100%	100%	100%	—	100%	50%
Division of Investment Management (IM)	Prior-year data not available			92%	73%	100%	100%	100%	100%
Division of Trading and Markets (TM)	Prior-year data not available			72%	60%	50%	83%	50%	50%

Target: CF – Not Met; IM – Met; TM – Exceeded

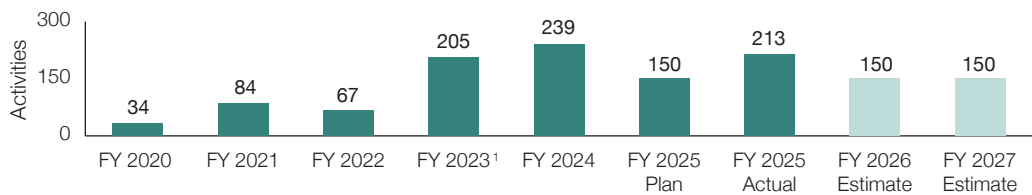
Analysis: In FY 2025, the Commission met or exceeded two of the three targets for regulatory initiatives that consider whether it would be appropriate to include a provision to structure those disclosures (to the extent that the benefits justify the economic costs) to enhance comparability. The Division of Corporation Finance (CF) missed its target due in part to transition in agency leadership. During this time, the Commission reassessed its regulatory priorities and, as a result, the Commission did not vote on any CF recommended rule proposals or final rules.

Plan for Improving Program Performance: CF expects that the percentage of regulatory initiatives that consider inclusion of a provision to structure disclosure to enhance comparability will increase in FY 2026, as the transition in agency leadership has completed and the Commission has published its Unified Agenda of Regulatory and Deregulatory Actions.

Responsible Division/Office: Division of Corporation Finance; Division of Investment Management; Division of Trading and Markets

Data Source: Releases Posted on Commission Website (CF); Internal Logs (IM); Internal Logs (TM)

PERFORMANCE GOAL 6 Investor Engagement Activities



Description: Organize investor-focused meetings, events, and activities that are designed primarily to engage directly with investors and receive feedback about policy questions, investing challenges, regulatory policy and rulemaking, investment products and services, investor issues, and/or potential misconduct.

Investor Engagement Activities, defined above, include consultations with individual investors; small business investors; institutional investors; representatives from organizations that are comprised of, and/or represent the interests of, investors; other market participants and industry experts, and law enforcement and regulatory entities. This also includes a number of public events such as investor roundtables, public meetings, and academic engagement.

Target: Exceeded

Analysis: In FY 2025, the SEC continued to engage with a wide-range of investors by hosting or participating in events with retail investors, veterans, and seniors. The Office of the Investor Advocate and other SEC divisions and offices conducted 213 in-person and virtual outreach events.

Responsible Division/Office: Office of the Investor Advocate

Data Source: Office of the Investor Advocate Client Relationship Management System; Reporting from Other Divisions and Offices

¹ In FY 2023, the metric data collection methodology changed to also capture Investor Engagement Activities from other SEC divisions and offices.

PERFORMANCE GOAL 7

Number of regulatory initiatives that enhance transparency in private markets or update the disclosure framework to reflect evolving technologies, business models, and capital markets

Description: This metric captures the number of regulatory initiatives (i.e., concept, requests for comment, proposing, and adopting releases) that increase or improve information in, or available about, offerings that are exempt from registration under the Securities Act of 1933 or update the disclosure framework to reflect evolving technologies, business models, and capital markets.²

Fiscal Year	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025 Plan	FY 2025 Actual	FY 2026 Estimate	FY 2027 Estimate
Division of Corporation Finance (CF)	Prior-year data not available			4	2	2	3	2	3
Division of Investment Management (IM)	Prior-year data not available			15	16	5	9	10	10
Division of Trading and Markets (TM)	Prior-year data not available			8	7	2	6	2	2

Target: CF – Exceeded; IM – Exceeded; TM – Exceeded

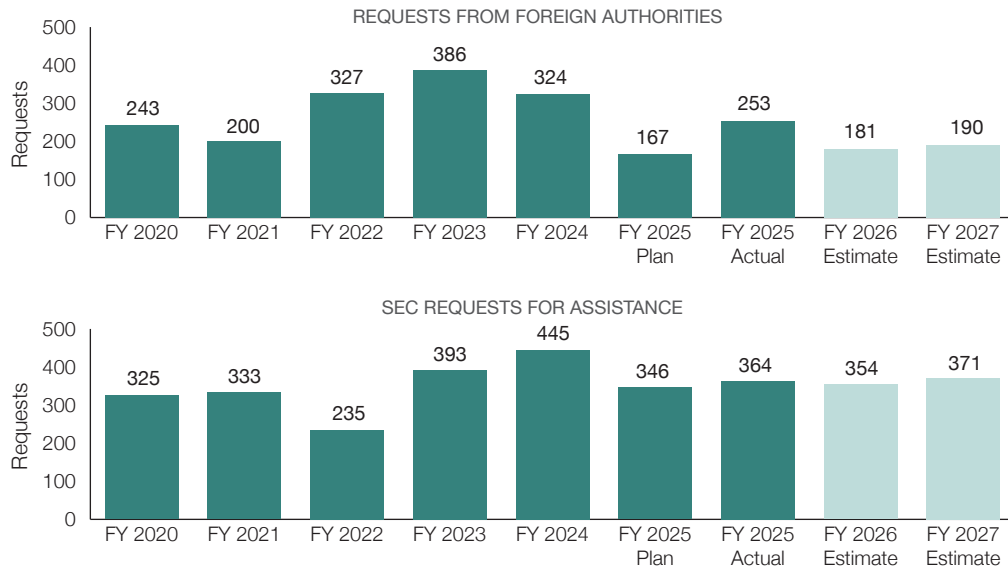
Analysis: In FY 2025, the Commission exceeded all three targets for regulatory initiatives that enhance transparency in private markets or update the disclosure framework to reflect evolving technologies, business models, and capital markets. The volume of rulemaking actions is hard to predict in any given year based on numerous factors, including Congressional mandates, market developments, and the Commission's broader agenda.

Responsible Division/Office: Division of Corporation Finance; Division of Investment Management; Division of Trading and Markets

Data Source: Releases Posted on Commission Website (CF); Internal Logs (IM); Internal Logs (TM)

² During FY 2025 Q3, the Commission withdrew several proposed rules within IM and the target was updated from 10 to 5.

PERFORMANCE GOAL 8
Number of supervisory cooperation requests from foreign authorities for SEC assistance and SEC requests for assistance on supervisory cooperation from foreign authorities



Description: The SEC makes requests to foreign authorities for supervisory cooperation assistance and responds to such requests from foreign regulators through both formal mechanisms, such as supervisory memoranda of understanding, and on an ad hoc basis.

Target: Requests from Foreign Authorities – Exceeded; SEC Requests for Assistance – Exceeded

Analysis: The Office of International Affairs (OIA) continued to see high demand for support of the SEC's divisions and offices oversight of SEC-registered market participants, cross-border activities, including oversight of SEC-registered firms located outside the United States. OIA exceeded its FY 2025 Plan by 51 percent for Requests from Foreign Authorities and 5 percent for Requests to Foreign Authorities.

Responsible Division/Office: Office of International Affairs

Data Source: SECOIA – Salesforce

PERFORMANCE GOAL 9

Percentage of supervisory engagements with broker-dealers and clearing agencies to address systemic and infrastructure risks

Description: Monitoring broker-dealers' and clearing agencies' compliance and risk management practices is critical to the operation of the financial markets. As a result, the SEC will ensure that a portion of its inspections each year assess whether regulated entities are monitoring, managing, and appropriately addressing these types of risks. The results of these important reviews will inform the SEC about industry developments and future work in this area.

Fiscal Year	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025 Plan	FY 2025 Actual	FY 2026 Estimate	FY 2027 Estimate
Percentage	Prior-year data not available			100%	100%	50%	100%	50%	50%

Target: Exceeded

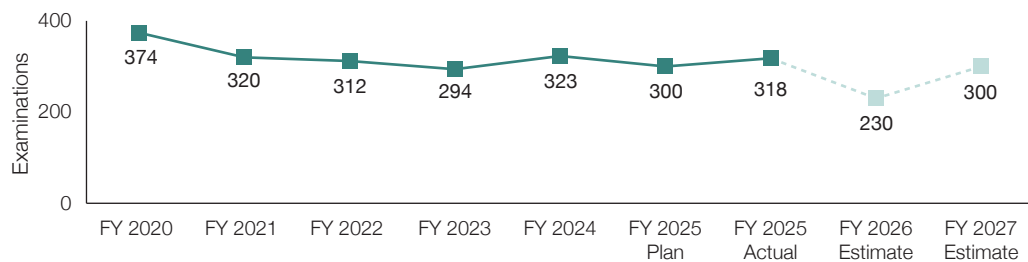
Analysis: In FY 2025, all of the Division of Trading and Markets' (TM) supervision and monitoring of broker-dealers and clearing agencies included a focus on the operation of financial markets. TM's supervisory and monitoring work evolves to reflect emerging trends and market conditions. TM may adjust the content and priorities of supervisory and monitoring activities in the future.

Responsible Division/Office: Division of Trading and Markets

Data Source: Internal Logs

PERFORMANCE GOAL 10

Number of examinations that request information related to an entity's information security



Description: Managing cyber and information risks is critical to the operation of the financial markets. As a result, the SEC's risk-based examination program ensures that a portion of its exams each year assess whether regulated entities are monitoring, managing, and appropriately addressing these types of risks. The results of these important reviews inform the SEC regarding industry developments and future work in this area. Overall, this metric reflects the continued focus of the SEC's examination program in this area by measuring the number of examinations reviewing critical cyber and information risks.

Target: Exceeded

Analysis: The SEC remains focused on ensuring that regulated market participants are engaged in managing cyber and information security risks. The SEC protects and monitors developments in this area through examinations of market participants conducted by the Division of Examinations. During FY 2025, information security and operational resiliency continued to be a priority for the division and more than 315 examinations specifically requested information related to an entity's information security. The results of these examinations helped to evaluate whether market participants are actively monitoring and addressing critical and emerging cybersecurity risks. These examinations also helped the SEC monitor industry developments to ensure future oversight efforts can be appropriately planned and executed. The division intends to continue its significant cyber and information security examination work in future years.

Responsible Division/Office: Division of Examinations

Data Source: Tracking and Reporting Examination National Documentation System (TRENDS)

PERFORMANCE GOAL 11
Percentage of Systemically Important Financial Market
Utilities examined by the examinations program

Description: A Systemically Important Financial Market Utility (SIFMU) is an organization that is vital to the U.S. financial system. A failure of, or disruption to, services provided by a SIFMU could threaten the stability of the U.S. markets. The SEC is designated as the supervisory agency for four SIFMUs and is required by Title VIII of the Dodd-Frank Act to conduct at least one exam annually of each SIFMU that meets the requirements set forth in the Act.

Fiscal Year	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025 Plan	FY 2025 Actual	FY 2026 Estimate	FY 2027 Estimate
Percentage	Prior-year data not available		100%	100%	100%	100%	100%	100%	100%

Target: Met

Analysis: As in prior years, the examination program continued to prioritize SIFMU exams that meet the requirements of Title VIII of the Dodd-Frank Act. During FY 2025, the program achieved its goal of conducting at least one such examination of each SIFMU.

Responsible Division/Office: Division of Examinations

Data Source: Tracking and Reporting Examination National Documentation System (TRENDS)

PERFORMANCE GOAL 12
Number of new investor education materials on emerging and popular investment topics

Description: Through the Office of Investor Education and Assistance (OIEA), and often in conjunction with other organizations, the SEC issues Investor Alerts and Bulletins to inform investors about different permutations of fraud, new investment products, and other topical issues. This metric measures: (a) the number of new investor education materials issued by OIEA; and (b) the percentage of users who indicated that the investor education materials may positively impact their behavior in the future.

Fiscal Year	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025 Plan	FY 2025 Actual	FY 2026 Estimate	FY 2027 Estimate
New Investor Education Materials Issued	Prior-year data not available		16	24	16	16	18	12	12
Users Indicating a Positive Change	Prior-year data not available		94%	91%	90%	90%	92%	90%	90%

Target: New Investor Education Materials Issued – Exceeded; Users Indicating a Positive Change – Exceeded

Analysis: In FY 2025, OIEA continued to inform investors about different permutations of fraud, new investment products, and other topical issues, including impersonation schemes, the importance of adding a trusted contact to a brokerage account, and investment scams relating to natural disasters. OIEA published 18 Investor Alerts and Bulletins, exceeding its performance target for new materials issued. With 92 percent of respondents to [Investor.gov's](https://www.investor.gov) customer satisfaction survey indicating that the information from Investor Alerts and Bulletins may impact them positively in the future, OIEA also exceeded its user experience performance target.

Responsible Division/Office: Office of Investor Education and Assistance

Data Source: Investor.gov; Qualtrics Experience Management Platform

PERFORMANCE GOAL 16

Equal Employment Opportunity Compliance – Assessment

Description: The percentage of “yes” (or N/A) responses to 156 questions prescribed by the Equal Employment Opportunity Commission (EEOC) related to a Model EEO Program. EEOC has established criteria for evaluating whether agencies have in place policies and procedures necessary to support a Model EEO Program. Reviewing whether SEC has such infrastructure in place communicates progress related to equality of opportunity at SEC by identifying gaps and areas for continuous improvement.

Fiscal Year	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025 Plan	FY 2025 Actual	FY 2026 Estimate	FY 2027 Estimate
Percentage of “Yes” (or N/A) Responses to EEOC Questions	Prior-year data not available			98%	97.4%	100%	N/A	100%	100%

Target: Percentage of “Yes” (or N/A) Responses to EEOC Questions – N/A

Analysis: We estimate the data for FY 2025 actuals will be available during FY 2026, following the release of the benchmarks from the U.S. Equal Employment Opportunity Commission.

Responsible Division/Office: Office of Equal Employment Opportunity

Data Source: Annual EEO Program Status Report

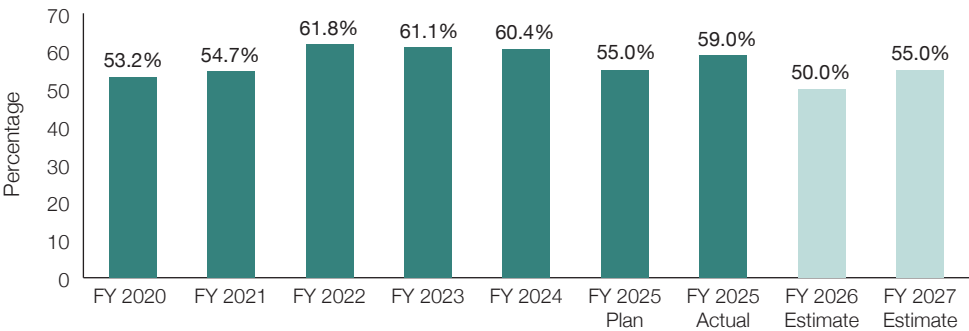
Note: In accordance with guidance provided by the Office of Personnel Management, the Federal Employee Viewpoint Survey (FEVS) was not administered in FY 2025; as such, Performance Goal 13, *Results of Federal Employee Viewpoint Survey*, Performance Goal 16, Data Point 1, *Positive Rating on FEVS Q8 (I can disclose a suspected violation of any law, rule, or regulation without fear of reprisal)*, and Performance Goal 17, *Employee Views on Intra-Agency Cooperation*, have been removed.

In accordance with Executive Order [14151](#), *Ending Radical and Wasteful Government DEI Programs and Preferencing*, Performance Goal 14, *Index Results from SEC Federal Employee Viewpoint Survey: Diversity, Opportunity, and Employee Inclusion*, and Performance Goal 15, *Diversity Outreach*, have been removed.

PERFORMANCE GOAL 18

Percentage of Plan of Action and Milestones (POA&Ms)

closed within six months from identification



Description: POA&Ms are corrective action plans for tracking and planning the resolution of vulnerabilities and risks associated with information security and privacy. They detail resources required to accomplish the elements of the plan, any milestones in meeting the tasks, and scheduled completion dates for the milestones to address threats to the security, integrity, and availability of the SEC’s systems and sensitive data. Organizations implement a consistent process for developing POA&Ms that uses a prioritized approach to risk mitigation that is uniform across the organization. A risk assessment guides the prioritization process for items included in the POA&Ms. Risk mitigation resources include, for example, personnel, new hardware or software, and tools. (NIST SP 800-37, Rev 2)

Target: Exceeded

Analysis: The continued improvement of POA&M closure performance during FY 2025 was the result of several reporting enhancements implemented by the Office of Information Technology (OIT), including:

1. Adding this and several other POA&M performance metrics to status reports;
2. Tracking POA&M submission due date changes and failed POA&M closure attempts to support more proactive identification of challenging POA&Ms;
3. Tracking additional information about upcoming POA&M due dates; and
4. Providing statistics related to common risks identified by POA&Ms to support root cause analysis.

OIT presented these expanded POA&M reports to the Chief Operating Officer, Chief Information Officer, and other key management stakeholders on a biweekly basis to improve situational awareness and support a risk-based approach to prioritizing mitigation efforts. OIT anticipates even further improved POA&M closure performance in future years due to a continuation of the actions described as well as new automated reminder messages and an enhanced extension request approval process.

Responsible Division/Office: Office of Information Technology

Data Source: Information Securities – Enterprise Governance, Risk, and Compliance Capability

PERFORMANCE GOAL 19
Percentage of SEC information systems encrypting data-at-rest
and encrypting data-in-transit, as reported per FISMA

Description: Compliance with the Federal Information Security Modernization Act (FISMA) requires that agency information systems encrypt data-at-rest and data-in-transit, and that agencies report certain of those systems to the Cybersecurity and Information Security Agency (CISA) and the Office of Management and Budget (OMB) as part of their annual agency FISMA Chief Information Officer (CIO) Metrics. Accordingly, encryption both of data-at-rest and data-in-transit for these systems are standard baseline controls and are reflected in the System Security Plan for each SEC system. The SEC submits its CIO Metrics, including its FISMA-reportable information systems that encrypt data, on an annual basis.

Fiscal Year	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025 Plan	FY 2025 Actual	FY 2026 Estimate	FY 2027 Estimate
Data-at-Rest	Prior-year data not available		96.6%	96.58%	95%	97%	95%	95%	
Data-in-Transit	Prior-year data not available		95.0%	97.44%	95%	98%	95%	95%	

Target: Data-at-Rest – Exceeded; Data-in-Transit – Exceeded

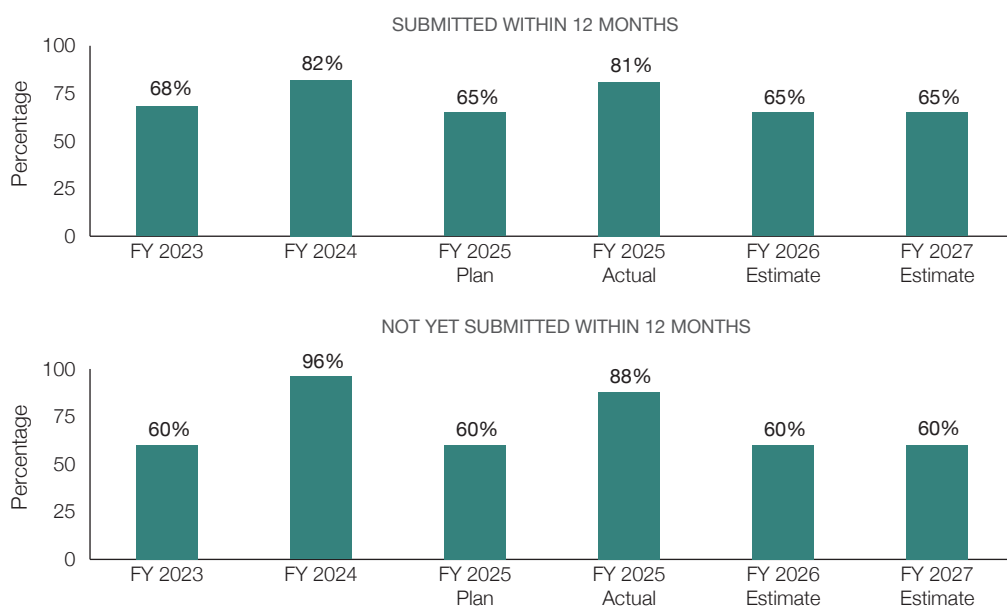
Analysis: In FY 2025, the Office of Information Technology (OIT) led efforts to ensure that the agency met both performance targets of at least 95 percent of encrypting data-at-rest and data-in-transit. The SEC's CIO led the agency to continue to meet its reporting requirements to the Cybersecurity and Information Security Agency (CISA) and OMB on its annual FISMA CIO Metrics.

Responsible Division/Office: Office of Information Technology

Data Source: System Security Plan; Annual FISMA CIO Metrics Report

PERFORMANCE GOAL 20

Timely completion of corrective actions responsive to audit findings



Note: Data for FY 2020–2022 are not available.

Description: This metric consists of two data points measuring the SEC's ability to timely complete and submit for closure corrective actions responsive to Government Accountability Office (GAO) or Office of Inspector General (OIG) recommendations: (1) the percent of GAO and OIG audit recommendations submitted for closure within 12 months of the date of their issuance; and (2) the percent of GAO and OIG audit recommendations not yet submitted for closure that are within 12 months of the recommendations' issuance.

Target: Submitted Within 12 Months – Exceeded; Not Yet Submitted Within 12 Months – Exceeded

Analysis: In FY 2025, the SEC continued to monitor its ability to timely develop, complete, and submit for closure corrective actions responsive to Government Accountability Office (GAO) or Office of Inspector General (OIG) recommendations. The SEC exceeded both performance targets for the percent of GAO and OIG audit recommendations submitted for closure within 12 months of the date of the recommendations' issuance, as well as for those not yet submitted for closure that are within 12 months of the recommendations' issuance. The agency's success on this performance goal is attributed to effective cross-organizational cooperation and mature governance efforts.

Responsible Division/Office: Office of the Chief Risk Officer

Data Source: Audit Management System (Archer)

PERFORMANCE GOAL 21

Number of innovative or analytical models, tools, capabilities, platforms, and other solutions deployed or made available to SEC staff

Description: New or enhanced innovative or analytical models, tools, capabilities, platforms, and other information technology solutions will further enable the SEC's mission and allow the agency to gain new or enhanced insights into the markets it oversees, uncover frauds, help agency programs generate more value for the public, and increase work efficiencies. This metric captures the number of models, tools, capabilities, platforms, and other solutions deployed or made available to SEC staff.

Fiscal Year	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025 Plan	FY 2025 Actual	FY 2026 Estimate	FY 2027 Estimate
Number	Prior-year data not available			18	4	20	—	—	—

Target: Not Met

Analysis: Due to budget and staffing issues this goal was not achieved.

Plan for Improving Program Performance: The SEC will review its technology infrastructure and increase work efficiencies. Based on this review OIT will provide updated future year estimates or update the performance goal.

Responsible Division/Office: Office of Information Technology

Data Source: Office of Information Technology Artificial Intelligence and Innovation Inventory and Technology Catalog

PERFORMANCE GOAL 22

Percentage of FISMA-reportable systems that are current (not legacy systems)

Description: A legacy system refers to outdated computer systems, programming languages, or application software that are used instead of more modern alternatives. A legacy system may be problematic due to compatibility issues, obsolescence, or the lack of support. Systems shall be determined to be legacy by the Chief Information Officer (CIO) or CIO designee.

Fiscal Year	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025 Plan	FY 2025 Actual	FY 2026 Estimate	FY 2027 Estimate
Percentage	Prior-year data not available			93%	95%	90%	98.15%	90%	90%

Target: Exceeded

Analysis: In FY 2025, the Office of Information Technology (OIT) continued to consistently evaluate the agency's legacy systems. OIT exceeded its performance target by 8.15 percent to ensure that 90 percent of FISMA-reportable systems are current. Ensuring that the agency is not operating with outdated computer systems, programming languages, or application software continues to be a priority for the SEC.

Responsible Division/Office: Office of Information Technology

Data Source: Office of Information Technology Archer (list of FISMA-reportable systems)

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Appendices

Appendix A: Verification and Validation of Performance Data	64
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Appendix C: Eliminate Useless Reports Act of 2024.....	82

APPENDIX A: VERIFICATION AND VALIDATION OF PERFORMANCE DATA

The SEC's programs require accurate data to properly assess program performance and make sound management decisions. To ensure data is correct, a system of data verification and validation is used. Data verification is a systematic process for evaluating a set of data against a set of standards to ascertain its completeness, correctness, and consistency using the methods and criteria defined in the project documentation. Data validation follows the data verification process in an effort to ensure that performance data is free of systematic error or bias, and that what is intended to be measured is actually measured. Together, these processes are used to evaluate whether the information has been generated according to specifications, satisfies acceptance criteria, and is appropriate and consistent with its intended use.

Below is a list of steps taken to ensure the performance data presented in this report is complete, reliable, and accurate.

1. The agency develops performance goals through its strategic planning process.
2. The SEC's divisions and offices provide:
 - The procedures used to obtain assurance as to the accuracy and reliability of the data;
 - The data definitions for reference;
 - Documentation and explanation of the performance goal calculations; and
 - The sources of the underlying data elements.
3. The performance data is approved by the division directors and office heads. This process ensures that the data used in the calculation of performance goals is accurate and reliable, and that internal control is maintained throughout the approval process.

APPENDIX B: SEC'S RESPONSES TO GOVERNMENT ACCOUNTABILITY OFFICE REPORTS

The following are copies of the SEC's responses sent to the Committees on Appropriations of both Houses of Congress. Substantially similar responses were sent to the Committee on Homeland Security and Governmental Affairs of the Senate, the Committee on Oversight and Government Reform of the House of Representatives, the congressional committees with jurisdiction over the agency program or activity that is the subject of the recommendation, the Office of Management and Budget, and the Government Accountability Office.

GAO Report: “Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation” (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable Russell Vought
Director
Office of Management and Budget
725 17th Street, NW
Washington, DC 20503

Dear Mr. Vought:

As stipulated by OMB Circular A-50, enclosed is a copy of the Securities and Exchange Commission's response to the U.S. Government Accountability Office's report entitled "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032, dated February 20, 2025).

If you have any questions or would like to discuss this response in more detail, please contact me at (202) 551-2100 or have a member of your staff contact Natalia Díez Riggini, Director of the Office of Legislative and Intergovernmental Affairs, at (202) 551-2010.

Sincerely,

A handwritten signature in blue ink that reads "Paul S. Atkins".

Paul S. Atkins
Chairman

Enclosure

GAO Report: “Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation” (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable Gene L. Dodaro
Comptroller General of the United States
U.S. Government Accountability Office
441 G Street, NW
Washington, DC 20548

Dear Mr. Dodaro:

I am pleased to provide you with an update on the progress the U.S. Securities and Exchange Commission (SEC) has made in implementing the recommendation of the U.S. Government Accountability Office (GAO) in its February 2025 report, “Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation” (GAO-25-107032). We appreciate the GAO’s review of executive compensation at banks.

The GAO’s recommendation asked that the Securities and Exchange Commission jointly prescribe regulations or guidelines on this topic, with the Federal Deposit Insurance Corporation, Federal Reserve, Federal Housing Finance Agency, National Credit Union Administration, and Office of the Comptroller of the Currency as directed by Section 956 of the Dodd-Frank Act.

To ensure the SEC’s planned actions would meet the intent of GAO’s recommendations, the SEC submitted these plans to GAO in April 2025. GAO responded that the tasks outlined would meet the intent of the recommendation. Responsible division staff will continue to cooperate with staff in the other five agencies referenced in Section 956 of the Dodd-Frank Act to determine the appropriate path forward.

I hope this status report and summary of our work are helpful to you. If you have any questions or would like to discuss this response in more detail, please contact me at (202) 551-2100 or have a member of your staff contact Natalia Díez Riggins, Director of the Office of Legislative and Intergovernmental Affairs, at (202) 551-2010.

Sincerely,

A handwritten signature in blue ink that reads "Paul S. Atkins".

Paul S. Atkins
Chairman

GAO Report: “Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation” (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable Tom Cole
Chairman
Committee on Appropriations
U.S. House of Representatives
H-307 The Capitol
Washington, DC 20515

Dear Chairman Cole:

I am pleased to provide you with an update on the progress the U.S. Securities and Exchange Commission (SEC) has made in implementing the recommendation of the U.S. Government Accountability Office (GAO) in its February 2025 report, “Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation” (GAO-25-107032). We appreciate the GAO’s review of executive compensation at banks.

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Sincerely,

A handwritten signature in blue ink that reads "Paul S. Atkins".

Paul S. Atkins
Chairman

GAO Report: "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable Susan M. Collins
Chairwoman
Committee on Appropriations
United States Senate
Room S-128 The Capitol
Washington, DC 20510

Dear Chairwoman Collins:

I am pleased to provide you with an update on the progress the U.S. Securities and Exchange Commission (SEC) has made in implementing the recommendation of the U.S. Government Accountability Office (GAO) in its February 2025 report, "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032). We appreciate the GAO's review of executive compensation at banks.

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Sincerely,

A handwritten signature in blue ink that reads "Paul S. Atkins".

Paul S. Atkins
Chairman

GAO Report: "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable James Comer
Chairman
Committee on Oversight and Government Reform
U.S. House of Representatives
2157 Rayburn House Office Building
Washington, DC 20515

Dear Chairman Comer:

I am pleased to provide you with an update on the progress the U.S. Securities and Exchange Commission (SEC) has made in implementing the recommendation of the U.S. Government Accountability Office (GAO) in its February 2025 report, "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032). We appreciate the GAO's review of executive compensation at banks.

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Sincerely,

A handwritten signature in blue ink that reads "Paul S. Atkins".

Paul S. Atkins
Chairman

GAO Report: "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable Rosa DeLauro
Ranking Member
Committee on Appropriations
U.S. House of Representatives
1036 Longworth House Office Building
Washington, DC 20515

Dear Ranking Member DeLauro:

I am pleased to provide you with an update on the progress the U.S. Securities and Exchange Commission (SEC) has made in implementing the recommendation of the U.S. Government Accountability Office (GAO) in its February 2025 report, "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032). We appreciate the GAO's review of executive compensation at banks.

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Sincerely,

A handwritten signature in blue ink that reads "Paul S. Atkins".

Paul S. Atkins
Chairman

GAO Report: "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable Robert Garcia
Ranking Member
Committee on Oversight and Government Reform
U.S. House of Representatives
2106 Rayburn House Office Building
Washington, DC 20515

Dear Ranking Member Garcia:

I am pleased to provide you with an update on the progress the U.S. Securities and Exchange Commission (SEC) has made in implementing the recommendation of the U.S. Government Accountability Office (GAO) in its February 2025 report, "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032). We appreciate the GAO's review of executive compensation at banks.

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Sincerely,

A handwritten signature in blue ink that reads "Paul S. Atkins".

Paul S. Atkins
Chairman

GAO Report: "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable Bill Hagerty
Chairman
Subcommittee on Financial Services and General Government
United States Senate
251 Russell Senate Office Building
Washington, DC 20510

Dear Chairman Hagerty:

I am pleased to provide you with an update on the progress the U.S. Securities and Exchange Commission (SEC) has made in implementing the recommendation of the U.S. Government Accountability Office (GAO) in its February 2025 report, "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032). We appreciate the GAO's review of executive compensation at banks.

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Sincerely,

A handwritten signature in blue ink that reads "Paul S. Atkins".

Paul S. Atkins
Chairman

GAO Report: "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable French Hill
Chairman
Committee on Financial Services
U.S. House of Representatives
2129 Rayburn House Office Building
Washington, DC 20515

Dear Chairman Hill:

I am pleased to provide you with an update on the progress the U.S. Securities and Exchange Commission (SEC) has made in implementing the recommendation of the U.S. Government Accountability Office (GAO) in its February 2025 report, "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032). We appreciate the GAO's review of executive compensation at banks.

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Sincerely,

A handwritten signature in blue ink that reads "Paul S. Atkins".

Paul S. Atkins
Chairman

GAO Report: "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable Steny Hoyer
Ranking Member
Subcommittee on Financial Services and General Government
U.S. House of Representatives
1036 Longworth House Office Building
Washington, DC 20515

Dear Ranking Member Hoyer:

I am pleased to provide you with an update on the progress the U.S. Securities and Exchange Commission (SEC) has made in implementing the recommendation of the U.S. Government Accountability Office (GAO) in its February 2025 report, "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032). We appreciate the GAO's review of executive compensation at banks.

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Sincerely,

A handwritten signature in blue ink that reads "Paul S. Atkins".

Paul S. Atkins
Chairman

GAO Report: "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable Dave Joyce
Chairman
Subcommittee on Financial Services and General Government
U.S. House of Representatives
2000 Rayburn House Office Building
Washington, DC 20515

Dear Chairman Joyce:

I am pleased to provide you with an update on the progress the U.S. Securities and Exchange Commission (SEC) has made in implementing the recommendation of the U.S. Government Accountability Office (GAO) in its February 2025 report, "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032). We appreciate the GAO's review of executive compensation at banks.

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Sincerely,

A handwritten signature in blue ink that reads "Paul S. Atkins".

Paul S. Atkins
Chairman

GAO Report: “Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation” (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable Patty Murray
Vice Chair
Committee on Appropriations
United States Senate
Room S-128 The Capitol
Washington, DC 20510

Dear Vice Chair Murray:

I am pleased to provide you with an update on the progress the U.S. Securities and Exchange Commission (SEC) has made in implementing the recommendation of the U.S. Government Accountability Office (GAO) in its February 2025 report, “Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation” (GAO-25-107032). We appreciate the GAO’s review of executive compensation at banks.

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Sincerely,

A handwritten signature in blue ink that reads "Paul S. Atkins".

Paul S. Atkins
Chairman

GAO Report: "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable Rand Paul
Chairman
Committee on Homeland Security and Governmental Affairs
United States Senate
340 Dirksen Senate Office Building
Washington, DC 20510

Dear Chairman Paul:

I am pleased to provide you with an update on the progress the U.S. Securities and Exchange Commission (SEC) has made in implementing the recommendation of the U.S. Government Accountability Office (GAO) in its February 2025 report, "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032). We appreciate the GAO's review of executive compensation at banks.

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Sincerely,

A handwritten signature in blue ink that reads "Paul S. Atkins".

Paul S. Atkins
Chairman

GAO Report: "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable Gary Peters
Ranking Member
Committee on Homeland Security and Governmental Affairs
United States Senate
340 Dirksen Senate Office Building
Washington, DC 20510

Dear Ranking Member Peters:

I am pleased to provide you with an update on the progress the U.S. Securities and Exchange Commission (SEC) has made in implementing the recommendation of the U.S. Government Accountability Office (GAO) in its February 2025 report, "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032). We appreciate the GAO's review of executive compensation at banks.

The GAO's recommendation asked that the Securities and Exchange Commission jointly prescribe regulations or guidelines on this topic, with the Federal Deposit Insurance Corporation, Federal Reserve, Federal Housing Finance Agency, National Credit Union Administration, and Office of the Comptroller of the Currency as directed by Section 956 of the Dodd-Frank Act.

To ensure the SEC's planned actions would meet the intent of GAO's recommendations, the SEC submitted these plans to GAO in April 2025. GAO responded that the tasks outlined would meet the intent of the recommendation. Responsible division staff will continue to cooperate with staff in the other five agencies referenced in Section 956 of the Dodd-Frank Act to determine the appropriate path forward.

I hope this status report and summary of our work are helpful to you. If you have any questions or would like to discuss this response in more detail, please contact me at (202) 551-2100 or have a member of your staff contact Natalia Diez Riggan, Director of the Office of Legislative and Intergovernmental Affairs, at (202) 551-2010.

Sincerely,

A handwritten signature in blue ink that reads "Paul S. Atkins".

Paul S. Atkins
Chairman

GAO Report: "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable Jack Reed
Ranking Member
Subcommittee on Financial Services and General Government
United States Senate
728 Hart Senate Office Building
Washington, DC 20510

Dear Ranking Member Reed:

I am pleased to provide you with an update on the progress the U.S. Securities and Exchange Commission (SEC) has made in implementing the recommendation of the U.S. Government Accountability Office (GAO) in its February 2025 report, "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032). We appreciate the GAO's review of executive compensation at banks.

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Sincerely,

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Paul S. Atkins
Chairman

GAO Report: "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032, dated February 2025)



OFFICE OF THE
CHAIRMAN

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

August 13, 2025

The Honorable Maxine Waters
Ranking Member
Committee on Financial Services
U.S. House of Representatives
4340 O'Neill House Building
Washington, DC 20515

Dear Ranking Member Waters:

I am pleased to provide you with an update on the progress the U.S. Securities and Exchange Commission (SEC) has made in implementing the recommendation of the U.S. Government Accountability Office (GAO) in its February 2025 report, "Bank Regulation: Agencies Should Finalize Rulemaking on Incentive Compensation" (GAO-25-107032). We appreciate the GAO's review of executive compensation at banks.

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I hope this status report and summary of our work are helpful to you. If you have any questions or would like to discuss this response in more detail, please contact me at (202) 551-2100 or have a member of your staff contact Natalia Diez Riggan, Director of the Office of Legislative and Intergovernmental Affairs, at (202) 551-2010.

Sincerely,

A handwritten signature in blue ink that reads "Paul S. Atkins".

Paul S. Atkins
Chairman

APPENDIX C: ELIMINATE USELESS REPORTS ACT OF 2024

The Eliminate Useless Reports Act of 2024 (Public Law 118-172) provides federal agencies with an annual process to submit to Congress proposals for reducing the burden of preparing recurring plans and reports. Importantly, the Act requires that such proposals for eliminating or modifying unnecessary, duplicative, or outdated reporting requirements be included in the budget justification. While regular public reporting by agencies is important to providing transparency and accountability to the American public, plans and reports that were once useful can become outdated, duplicative, or less useful over time.

List of Recurring Reports to Congress from SEC

Report Number	Report Title	Frequency	Unique Alphanumeric Identifier
1	13(r) Iran Notice Letters	Weekly	
2	Agency Financial Report	Annual	
3	Agency FISMA Reports Due to Congress and the GAO	Annual	
4	Annual Budget Authorization Request	Annual	
5	Annual Report of PCAOB	Annual	
6	Annual Report on Use of Form PF Data	Annual	001416043
7	Annual Report to Congress on the Dodd-Frank Whistleblower Program	Annual	
8	Annual Section 508 Assessment	Semiannual	
9	Annual Summary Report of Commission Staff's Examination of Each Nationally Recognized Statistical Rating Organization (NRSRO)	Annual	
10	Application Reprogramming and Transfer Authorities Baseline - Current Fiscal Year (60-day table)	Annual	
11	Congressional Budget Justification	Annual	
12	Current Fiscal Year (45-day spending plan)	Annual	
13	Federal Equal Opportunity Recruitment Program (FEORP) and Hispanic Employment Report	Annual	
14	Financial Data Transparency Act Semi-Annual Report to Congress Regarding Public and Internal Use of Machine-Readable Data for Corporate Disclosures	Semiannual	

continued on next page

Report Number	Report Title	Frequency	Unique Alphanumeric Identifier
15	Foundations for Evidence-Based Policymaking Act of 2018 Annual Report to Congress	Annual	
16	Freedom of Information Act (FOIA) Annual Report	Annual	
17	Notification and Federal Employee Antidiscrimination and Retaliation Act of 2002 Annual Report	Annual	
18	Office of the Investor Advocate Report on Activities	Annual	
19	Office of the Investor Advocate Report on Objectives	Annual	
20	OIG Semiannual Report to Congress	Semiannual	
21	OMB Budget Request	Annual	
22	OMWI Annual Report to Congress	Annual	001137242
23	Report and Certification of Internal Supervisory Controls	Annual	
24	Report on the Annual SEC Small Business Forum	Annual	
25	Reserve Fund Spending Plan	Annual	
26	Response to OIG Semiannual Report	Semiannual	
27	Reuse Excess Property Act Annual Report	Annual	
28	SEC Division E - Section 634 Quarterly Budget Report	Quarterly	
29	Semi-Annual Report to Congress Regarding Public and Internal Use of Machine-Readable Data for Corporate Disclosures	Semiannual	001415990
30	Small Business Compliance Guide Report	Annual	
31	Staff Report from the Office of the Advocate for Small Business Capital Formation	Annual	
32	Staff Report on Nationally Recognized Statistical Rating Organizations	Annual	
33	Transmittal of SIPC Annual Report	Annual	

Identified List of Recurring Plans or Reports that are Outdated or Duplicative

Recommendation: Sunset—Entirely Eliminate the Planning or Reporting Requirement

13(r) Iran Notice Letters

Provision of Law or Directive: 13(r)(4) of the Securities Exchange Act of 1934

Congressional Committees Receiving Report: Senate Committee on Foreign Relations; Senate Committee on Banking, Housing, and Urban Affairs; House Committee on Foreign Affairs; House Committee on Financial Services

Justification for Recommendation: Given that the Iran notices are available on EDGAR via the SEC's website, it seems redundant to supply information that is already publicly available.

Reuse Excess Property Act Annual Report

Provision of Law or Directive: Section 2(a)(1)(A) of the Reuse Excess Property Act (the Act) requires agencies to submit a report with data concerning certain personal property to Government Services Administration (GSA) and the Committee on Homeland Security and Governmental Affairs of the Senate and the Committee on Oversight and Accountability of the House of Representatives. Section 2(a)(1)(B) of the Act requires GSA to compile the agency data and submit it to the same committees. In addition, the Act requires GSA to post on a public website "the complete data provided in each [agency] report," among other information. Moreover, section 2(e)(1) of the Act sunsets the agency and GSA reports to Congress after five years. Since the Act was passed on October 1, 2024, it is scheduled to sunset in 2029.

Congressional Committees Receiving Report: Senate Committee on Homeland Security and Governmental Affairs; House Committee on Oversight and Accountability

Justification for Recommendation: The report duplicates data provided to the committees and public by GSA.

Staff Report on Nationally Recognized Statistical Rating Organizations

Provision of Law or Directive: Credit Rating Agency Reform Act of 2006 (CRARA)

Congressional Committees Receiving Report: Senate Committee on Banking, Housing, and Urban Affairs; House Committee on Financial Services

Justification for Recommendation: CRARA requires an annual report identifying applicants for registration as Nationally Recognized Statistical Rating Organizations (NRSRO); detailing the number of, and actions taken on, such applications; and specifying the views of the Commission on the state of competition, transparency, and conflicts of interest among NRSROs. Locating and compiling information on the state of competition, transparency, and conflicts of interest among NRSROs takes a considerable amount of staff time. Importantly, the staff has found that there are few changes in the information from year-to-year to allow for a meaningful discussion in the report, so information is often repeated from prior years.

Sunsetting the CRARA Report would not preclude the staff from including information on NRSRO applicants or the state of competition, transparency, and conflicts of interest among NRSROs in the Annual Summary Report of Commission Staff's Examination of each NRSRO.

The SEC's FY 2027 Congressional Budget
Justification/Annual Performance Plan
and FY 2025 Annual Performance Report
was successfully produced through the
efforts of our talented staff. To these
individuals, we offer our sincerest
appreciation. To comment on this report,
please send an email to
OFM_budget_formulation@sec.gov.

U.S. Securities and Exchange Commission

Washington, DC 20549

SEC.gov